

# **ABANS FINANCE PLC**

**AUDITED FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED**

**31 MARCH 2016**



**Abans  
FINANCE**

NDeS /FS/TW

**INDEPENDENT AUDITOR'S REPORT  
TO THE SHAREHOLDERS OF ABANS FINANCE PLC**

**Report on the Financial Statements**

We have audited the accompanying financial statements of Abans Finance PLC, ("the Company"), which comprise the statement of financial position as at 31 March 2016, and the statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information set out on pages 3 to 54.

***Board's Responsibility for the Financial Statements***

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

***Auditor's Responsibility***

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

***Opinion***

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 March 2016, and of its financial performance and cash flows for the year then ended, in accordance with Sri Lanka Accounting Standards.



(Contd...2/)

### **Report on other legal and regulatory requirements**

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion, Scope and Limitations of the audit are as stated above.
- b) In our opinion :
  - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company, and
  - The financial statements of the Company comply with the requirements of Section 151 of the Companies Act No. 7 of 2007.

*Ernst & Young*

27 June 2016  
Colombo

## STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2016

|                                                                             | Notes | 2016<br>Rs.        | 2015<br>Rs.        |
|-----------------------------------------------------------------------------|-------|--------------------|--------------------|
| Income                                                                      | 5     | 1,317,233,363      | 958,110,639        |
| Interest Income                                                             | 5.1   | 1,189,278,894      | 853,772,285        |
| Interest Expenses                                                           | 5.2   | (481,221,503)      | (409,914,041)      |
| <b>Net Interest Income</b>                                                  |       | <b>708,057,391</b> | <b>443,858,244</b> |
| Fee and Commission Income                                                   | 6.1   | 111,586,810        | 91,787,158         |
| Fee and Commission Expenses                                                 | 6.2   | (76,888,915)       | (45,314,982)       |
| <b>Net Fee and Commission Income</b>                                        |       | <b>34,697,895</b>  | <b>46,472,176</b>  |
| Net Gain/(loss) from Trading                                                | 7     | (582,293)          | 1,830,282          |
| Other Operating Income (net)                                                | 8     | 16,949,952         | 10,720,913         |
| <b>Total Operating Income</b>                                               |       | <b>759,122,945</b> | <b>502,881,616</b> |
| Impairment (Charges) / Reversal for loans and other losses                  |       |                    |                    |
| Individual                                                                  | 9.1   | (35,826,562)       | (63,459,007)       |
| Collective                                                                  | 9.2   | (190,013,555)      | (52,133,547)       |
| <b>Net Operating Income</b>                                                 |       | <b>533,282,828</b> | <b>387,289,061</b> |
| <b>Operating Expenses</b>                                                   |       |                    |                    |
| Personnel Costs                                                             | 10    | (166,916,649)      | (118,587,829)      |
| Depreciation & Amortization                                                 | 11    | (12,908,611)       | (12,411,538)       |
| Other Operating Expenses                                                    | 12    | (192,788,213)      | (147,656,365)      |
| <b>Operating Profit before Value Added Tax on Financial Services</b>        |       | <b>160,669,355</b> | <b>108,633,330</b> |
| VAT & NBT on Financial Services                                             |       | (30,188,461)       | (11,123,943)       |
| <b>Profit before Taxation from Operations</b>                               |       | <b>130,480,894</b> | <b>97,509,387</b>  |
| Provision for Income Taxation                                               | 13.1  | (40,356,230)       | (24,707,819)       |
| <b>Profit for the Year</b>                                                  |       | <b>90,124,664</b>  | <b>72,801,568</b>  |
| <b>Other Comprehensive Income (OCI)</b>                                     |       |                    |                    |
| <b>Items that are or may be reclassified subsequently to profit or loss</b> |       |                    |                    |
| Available for sale financial asset - Net change in fair value               |       | -                  | 130,255            |
| Available for sale financial asset - Reclassified to profit or loss         |       | (130,255)          | -                  |
|                                                                             |       | <b>(130,255)</b>   | <b>130,255</b>     |
| <b>Items that will not be reclassified to profit or loss</b>                |       |                    |                    |
| Actuarial Gains/(Losses) on Defined Benefit Plan                            | 35.1  | (471,493)          | (1,328,677)        |
| Deferred Tax effect of above                                                | 13.1  | 132,018            | 372,030            |
|                                                                             |       | <b>(339,475)</b>   | <b>(956,647)</b>   |
| <b>Other Comprehensive Loss for the Year, Net of Tax</b>                    |       | <b>(469,730)</b>   | <b>(826,392)</b>   |
| <b>Total Comprehensive Income for the Year</b>                              |       | <b>89,654,934</b>  | <b>71,975,176</b>  |
| <b>Basic Earnings Per Share (Rs.)</b>                                       | 14    | <b>2.44</b>        | <b>1.97</b>        |

Accounting Policies and Notes from pages 7 to 54 form an integral part of these Financial Statements.

## STATEMENT OF FINANCIAL POSITION

As at 31 March 2016

|                                                     | Notes | 2016<br>Rs.          | 2015<br>Rs.          |
|-----------------------------------------------------|-------|----------------------|----------------------|
| <b>Assets</b>                                       |       |                      |                      |
| Cash and Bank Balances                              | 15    | 73,385,295           | 68,497,383           |
| Placement With Banks                                | 16    | 224,098,165          | 283,645,333          |
| Repurchase Agreements                               | 17    | 630,158,527          | 426,888,521          |
| Financial Investments - Held for Trading            | 18    | 6,915,241            | 7,370,358            |
| Financial Investments - Debt Securities             | 19    | -                    | 49,278,340           |
| Loans and Advances                                  | 20    | 1,188,546,845        | 637,248,600          |
| Lease rentals receivable & Stock out on hire        | 21    | 3,596,251,779        | 2,903,285,248        |
| Financial Investments - Available for Sale          | 22    | 80,400               | 100,210,655          |
| Financial Investments - Held to Maturity            | 23    | 21,669,813           | 21,150,414           |
| Other Financial Assets                              | 24    | 73,802,179           | 42,129,334           |
| Real Estate Stock                                   | 25    | 83,066,481           | 97,139,978           |
| Other Non Financial Assets                          | 26    | 97,894,824           | 81,785,327           |
| Property, Plant & Equipment                         | 28    | 75,811,265           | 26,807,373           |
| Intangible Assets                                   | 27    | 15,608,896           | 10,241,083           |
| Deferred Tax Assets                                 | 29    | 61,419,536           | 18,446,150           |
| <b>Total Assets</b>                                 |       | <b>6,148,709,246</b> | <b>4,774,124,097</b> |
| <b>Liabilities</b>                                  |       |                      |                      |
| Due to Banks                                        | 30    | 47,004,092           | 155,850,542          |
| Due to Customers                                    | 31    | 4,539,362,221        | 3,591,961,005        |
| Debt Instruments Issued and Other Borrowed Funds    | 32    | 31,110,631           | -                    |
| Other Financial Liabilities                         | 33    | 837,025,511          | 461,616,857          |
| Other Non Financial Liabilities                     | 34    | 8,086,521            | 1,859,218            |
| Current Tax Liabilities                             |       | 56,345,826           | 26,491,603           |
| Retirement Benefit Liability                        | 35    | 15,249,338           | 11,474,701           |
| <b>Total liabilities</b>                            |       | <b>5,534,184,140</b> | <b>4,249,253,926</b> |
| <b>Shareholders' Funds</b>                          |       |                      |                      |
| Stated Capital                                      | 36    | 382,373,630          | 382,373,630          |
| Statutory Reserve Fund                              | 37.2  | 62,554,000           | 44,529,000           |
| Reserve on Available for Sale Financial Instruments | 37.2  | -                    | 130,255              |
| Retained Earnings                                   | 37.1  | 169,597,476          | 97,837,286           |
| <b>Total Shareholders' Funds</b>                    |       | <b>614,525,106</b>   | <b>524,870,171</b>   |
| <b>Total Liabilities and Shareholders' Funds</b>    |       | <b>6,148,709,246</b> | <b>4,774,124,097</b> |
| <b>Commitments and Contingencies</b>                |       | <b>-</b>             | <b>-</b>             |

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

P W K Roshan (Sgnd.)  
Head of Finance

The Board of Directors is responsible for the preparation & and presentation of these Financial Statements. Signed for and on behalf of the Board by,

K.B.Wanigasekara (Sgnd.)  
Director

Rusi Pestonjee (Sgnd.)  
Director

Accounting Policies and Notes from pages 7 to 54 form an integral part of these Financial Statements.

27 June 2016  
Colombo

## STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2016

|                                         | Stated Capital     | Statutory Reserve  | Investment Fund Reserve | Reserve on Available for Sale Financial Instruments | Retained Earnings  | Total              |
|-----------------------------------------|--------------------|--------------------|-------------------------|-----------------------------------------------------|--------------------|--------------------|
|                                         | Rs.<br>(Note 36)   | Rs.<br>(Note 37.2) | Rs.                     | Rs.<br>(Note 37.2)                                  | Rs.<br>(Note 37.1) | Rs.                |
| <b>Balance as at 1 April 2014</b>       | 382,373,630        | 29,968,000         | 18,454,242              | -                                                   | 22,099,123         | 452,894,995        |
| Net profit for the year                 | -                  | -                  | -                       | -                                                   | 72,801,568         | 72,801,568         |
| Other Comprehensive Income net of tax   | -                  | -                  | -                       | 130,255                                             | (956,647)          | (826,391)          |
| Total Comprehensive Income for the year | -                  | -                  | -                       | 130,255                                             | 71,844,921         | 71,975,176         |
| Transfer to Statutory Reserve           | -                  | 14,561,000         | -                       | -                                                   | (14,561,000)       | -                  |
| Transfer to Investment Fund Reserve     | -                  | -                  | (18,454,242)            | -                                                   | 18,454,242         | -                  |
| <b>Balance as at 31 March 2015</b>      | <u>382,373,630</u> | <u>44,529,000</u>  | <u>-</u>                | <u>130,255</u>                                      | <u>97,837,286</u>  | <u>524,870,171</u> |
| Net profit for the year                 | -                  | -                  | -                       | -                                                   | 90,124,664         | 90,124,664         |
| Other Comprehensive Income net of tax   | -                  | -                  | -                       | (130,255)                                           | (339,475)          | (469,730)          |
| Total Comprehensive Income for the year | -                  | -                  | -                       | (130,255)                                           | 89,785,190         | 89,654,934         |
| Transfer to Statutory Reserve           | -                  | 18,025,000         | -                       | -                                                   | (18,025,000)       | -                  |
| <b>Balances as at 31 March 2016</b>     | <u>382,373,630</u> | <u>62,554,000</u>  | <u>-</u>                | <u>-</u>                                            | <u>169,597,476</u> | <u>614,525,106</u> |

Accounting Policies and Notes from pages 7 to 54 form an integral part of these Financial Statements.

## STATEMENT OF CASH FLOWS

Year ended 31 March 2016

|                                                                        | Notes | 2016<br>Rs.   | 2015<br>Rs.   |
|------------------------------------------------------------------------|-------|---------------|---------------|
| <b>Cash Flows From / (Used in) Operating Activities</b>                |       |               |               |
| Profit before Income Tax Expense                                       |       | 130,480,894   | 97,509,387    |
| Adjustments for                                                        |       |               |               |
| Depreciation                                                           | 28    | 11,416,894    | 7,804,503     |
| Amortization of Intangible Assets                                      | 27    | 1,491,717     | 4,607,033     |
| Impairment Provision                                                   | 9     | 225,840,117   | 115,592,554   |
| Diminution/(Appreciation) in Value of Investments                      | 7     | 827,662       | (4,594,180)   |
| Loss/(Profit) from Sale of Investments                                 | 7     | -             | 3,032,079     |
| Loss/(Profit) from Sale of Unit Trust                                  | 8     | (8,924,199)   | (3,918,539)   |
| Loss/(Profit) on Disposal of Property & Equipment                      | 8     | 19,829        | 36,642        |
| Provision/(Reversal) for Defined Benefit Plans                         | 10    | 3,788,956     | 2,803,208     |
| Dividend Received                                                      |       | (245,369)     | (268,181)     |
| Operating Profit before Working Capital Changes                        |       | 364,696,501   | 222,604,506   |
| (Increase)/Decrease in Real Estate Stock                               |       | (14,020,577)  | 33,720,879    |
| (Increase)/Decrease in Loans and Advances                              |       | (552,542,106) | 98,094,905    |
| (Increase)/Decrease in Lease Rentals Receivable & Stock out on hire    |       | (838,856,351) | (873,935,508) |
| (Increase)/Decrease in Other Financial Assets                          |       | (110,379,280) | (83,998,656)  |
| (Increase)/Decrease in Other Non Financial Assets                      |       | (16,109,497)  | 13,512,285    |
| Increase/(Decrease) in Amounts Due to Customers                        |       | 947,401,216   | 991,841,460   |
| Increase/(Decrease) in Other Financial Liabilities                     |       | 375,408,654   | 208,996,298   |
| Increase/(Decrease) in Other Non Financial Liabilities                 |       | 6,227,303     | (1,020,540)   |
| Cash Generated from Operations                                         |       | 161,825,862   | 609,815,629   |
| Retirement Benefit Liabilities Paid                                    | 35    | (485,813)     | (69,000)      |
| Taxes Paid                                                             |       | (53,343,375)  | (22,011,703)  |
| Net Cash From/(Used in) Operating Activities                           |       | 107,996,674   | 587,734,926   |
| <b>Cash Flows from / (Used in) Investing Activities</b>                |       |               |               |
| Acquisition of Property, Plant & Equipment                             | 28    | (32,378,791)  | (16,726,387)  |
| Acquisition of Intangible Assets                                       | 27    | (6,859,530)   | (5,507,394)   |
| Proceeds from Sales of Property, Plant & Equipment                     |       | 32,250        | 35,000        |
| Acquisition of Financial Investment held - for - trading               |       | (372,546)     | (5,164,166)   |
| Proceeds from Sale of Financial investments held -for- trading         |       | -             | 6,406,045     |
| Cash Flow from /(Used in) Fixed Deposits                               |       | (2,807)       | (3,299)       |
| Sale/(Purchase) of Financial Investments- Held to Maturity             |       | (519,400)     | (454,674)     |
| Sale of Financial Investments- Unit Trust                              |       | 208,924,199   | 103,918,539   |
| Purchase of Financial Investments- Unit Trust                          |       | (100,000,000) | (200,000,000) |
| Proceeds from Disposal of Debt Securities                              |       | 49,278,342    | -             |
| Investments in Debt Securities                                         |       | -             | 158,422       |
| Dividend Received                                                      |       | 245,369       | 268,180       |
| Net Cash Flows from/(Used in) Investing Activities                     |       | 118,347,087   | (117,069,735) |
| <b>Cash Flows from / (Used in) Financing Activities</b>                |       |               |               |
| Net Cash Outflow from Securitized Borrowings and other bank facilities |       | (96,643,162)  | (102,939,722) |
| Cash Flow from Debt Instruments Issued and Other Borrowings            | 32    | 31,110,631    | (122,265,623) |
| Net Cash Flows from/(Used in) Financing Activities                     |       | (65,532,531)  | (225,205,345) |
| <b>Net Increase in Cash and Cash Equivalents</b>                       |       | 160,811,230   | 245,459,847   |
| <b>Cash and Cash Equivalents at the beginning of the year</b>          |       | 745,027,800   | 499,567,953   |
| <b>Cash and Cash Equivalents at the end of the year</b>                | 15.1  | 905,839,030   | 745,027,800   |

Accounting Policies and Notes from pages 7 to 54 form an integral part of these Financial Statements.

**1. CORPORATE INFORMATION**

**1.1 General**

Abans Finance PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

**1.2 Principal Activities and Nature of Operations**

During the year, the principal activities of the Company were Acceptance of Deposits, Granting Lease facilities, Hire Purchase, Mortgage Loans and other Credit Facilities, Real Estate Development and related Services.

**1.3 Parent Enterprise and Ultimate Parent Enterprise**

The Company's parent and ultimate parent company is AbansPLC.

**1.4 Date of Authorization for Issue**

The Financial Statements of Abans Finance PLC for the year ended 31 March 2016 was authorized for issue in accordance with a resolution of the Board of Directors on 27 June 2016.

**1.5 Directors' Responsibility Statement**

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").

**2. BASIS OF PREPARATION**

**2.1 Statement of Compliance**

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2016 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007.

**2.2 Basis of Measurement**

The Financial Statements have been prepared on the historical cost basis, except for Financial Investments held for trading and Available-for-sale financial assets which are measured at fair value and Defined Benefit Obligations which are measured at present value using the projected unit credit method in the Statement of Financial position.

**2.3 Presentation of financial statements**

The items in the statement of financial position of the company are presented broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Note 41.

**2.4 Materiality & Aggregation**

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

**2.5 Comparative Information**

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with LKAS 01 Presentation of Financial Statements.

**3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS**

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

**a) Estimates and Assumptions**

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

**I. Going Concern**

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

**II. Defined Benefit Plans**

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 35.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company.

**III. Impairment losses on Loans and Advances**

The Company reviews their individually significant loans and advances at each date of statement of financial position to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes in to account data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios, etc.), and judgements on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates).

#### **4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

##### **4.1 Cash and Cash Equivalents**

Cash and cash equivalents comprise cash in hand, balance with banks and investments in Government Securities.

For the purpose of the Statement of Cash Flow, cash and cash equivalents consist of cash and short term deposits and investments in Government Securities as defined above, net of unfavourable bank balances.

##### **4.2 Financial Assets**

###### **4.2.1 Financial Assets – initial recognition and subsequent measurement**

Financial Assets within the scope of LKAS 39 are classified as Loans and Advances, Lease Rental Receivables, Financial Investments Held-to-Maturity, Financial Investments Available-for-sale, Financial Investments Held for Trading as appropriate. The Company determines the classification of its financial assets at initial recognition.

###### **(i) Date of recognition**

All Financial Assets are initially recognized on the trade date, i.e., the date that the company becomes a party to the contractual provisions of the instrument. This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

###### **(ii) Initial measurement of Financial Assets**

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All Financial Assets are measured initially at their fair value plus transaction costs, except in the case of financial assets recorded at fair value through profit or loss.

###### **(iii) Financial Assets Held for Trading**

Financial assets held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognized in 'Net Trading Income'. Dividend income is recorded in 'Net trading income' according to the terms of the contract, or when the right to the payment has been established.

###### **(iv) Available for Sale Financial Assets**

Available for sale investments include non-quoted equity securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss.

Dividends earned whilst holding available for sale financial investments are recognised in the income statement as 'Other operating income' when the right of the payment has been established.

The Company has measured its non-quoted equity investments classified as available for sale financial instruments at Fair Value.

###### **(v) Held-to-Maturity Financial Investments**

Held to maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. Subsequent to initial recognition, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate less impairment.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the Effective Interest Rate.

The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment of such investments are recognised in the income statement line 'Impairment (Charges) / Reversal for loans and other losses'.

If the company was to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as available for sale. Furthermore, the company would be prohibited from classifying any financial asset as held to maturity during the following two years.

**(vi) Loans and Advances to customers and Lease Rental Receivables from customers**

Loans and advances to customers and Lease Rental Receivables from customers include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that the company, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale
- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration

After initial measurement, amounts 'loans and advances to customers and Lease Rental Receivables from customers are subsequently measured at amortised cost using the Effective Interest Rate, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the Effective Interest Rate. The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment are recognised in the income statement in "Impairment (Charges) / Reversal for loans and other losses"

**4.2.2 'Day 1' difference**

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in 'Net trading income'.

**4.2.3 Reclassification of Financial Assets**

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost, if the basis of measurement of the reclassified category is amortized cost.

For a financial asset reclassified out of the 'available for sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the Effective Interest Rate. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the Effective Interest Rate. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the income statement.

The Company may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the Company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the Effective Interest Rate from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument by instrument basis. The Company does not reclassify any financial instrument into the fair value through profit or loss category after initial recognition.

#### 4.2.4 Derecognition of Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
  - ▶ The company has transferred substantially all the risks and rewards of the asset. or
  - ▶ The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

#### 4.2.5 Impairment of Financial Assets

The company assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

##### i. **Loans and Advances to customers, Lease Rental Receivable from customers and Stock Out on Hire to Customers**

Losses for impaired loans are recognised promptly when there is objective evidence that impairment of a loan or portfolio of loans has occurred. Impairment allowances are calculated on individual loans and for groups of loans, this is done collectively. Impairment losses are recorded as charges to the income statement. The carrying amount of impaired loans on the statement of financial position is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognised.

##### **Individually assessed Loans and Advances and Lease and Stock out on hire**

For all loans that are considered individually significant, the company assesses on a case-by-case basis at each reporting date whether there is any objective evidence that a loan is impaired. The criteria used to determine that there is such objective evidence includes:

- Know cash flow difficulties experienced by the borrower;
- Pastdue contractual payments of either principal or interest;
- Breach of loan covenants or conditions;
- The probability that the borrower will enter bankruptcy or other financial realisation; and
- A significant down grading in credit rating by an external credit rating agency.

For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:

- Company's aggregate exposure to the customer;
- The viability of the customer's business model and the capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
- The amount and timing of expected receipts and recoveries;
- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

#### **Collectively assessed Loans and Advances to customers, Lease Rental Receivable from customers and Stock out on Hire to customers**

Impairment is assessed on a collective basis in two circumstances:

- To cover losses which have been incurred but have not yet been identified on loans subject to individual assessment; and
- For homogeneous groups of loans that are not considered individually significant.
- Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the company has incurred as a result of events occurring before the balance sheet date, which the company is not able to identify on an individual loan basis, and that can be reliably estimated.

These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account:

- Historical loss experience in portfolios of similar credit risk; and
- Management's experience judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the reporting date is likely to be greater or less than that suggested by historical experience.

#### **Homogeneous groups of Loans and Advances**

Statistical methods are used to determine impairment losses on a collective basis for homogeneous groups of loans. Losses in these groups of loans are recorded on an individual basis when individual loans are written off, at which point they are removed from the group.

Following method is used to calculate historical loss experience on a collective basis:

- Net flow rate method

Under this methodology the movement in the outstanding balance of customers in to bad categories over the periods are used to estimate the amount of loans that will eventually be written off as a result of the events occurring before the reporting date which the Group is not able to identify on an individual loan basis, and that can be reliably estimated.

Under these methodologies, loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required covering inherent loss.

These additional macro and portfolio risk factors may include:

- Recent loan portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in government laws and regulations

#### **Write-off of Loans and Advances**

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security.

#### **Reversals of impairment**

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the statement of comprehensive income.

### **ii. Available for Sale Financial Investments**

For available for sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment is impaired. In the case of debt instruments classified as available for sale, the company assesses individually whether there is objective evidence of impairment.

However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement. Impairment losses recognized in profit or loss for an investment in an equity instrument classified as available for sale shall not be reversed through profit or loss.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement is removed from equity and recognised in the income statement. Impairment losses on equity investments are not reversed through the income statement; increases in the fair value after impairment are recognised in other comprehensive income.

**iii. Held-to-Maturity Financial Assets**

An impairment loss in respect of held-to-maturity financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original Effective Interest Rate and is recognized in profit or loss. Interest on impaired assets continue to be recognized through the unwinding of discount. When a subsequent event caused the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

**iv. Renegotiated Loans**

Where possible, the company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original Effective Interest Rate as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original Effective Interest Rate.

**4.2.6 Collateral valuation**

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, other non-financial assets. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

**4.2.7 Collateral Repossessed**

The Company's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

**4.2.8 Repurchase Agreement**

Securities purchased under agreements to resell at a specified future date are not recognised in the statement of financial position. The consideration paid, including accrued interest, is recorded in the statement of financial position, reflecting the transaction's economic substance as a loan by the Company. The difference between the purchase and resale prices is recorded in 'Net interest income' and is accrued over the life of the agreement using the Effective Interest Rate.

**4.2.9 Other Financial Assets**

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

**4.2.10 Real Estate Stock**

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost - Land Cost with Legal Charges.  
Cost of Conversion - Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale.

**4.3 Non - Financial Assets****4.3.1 Property, Plant and equipment****Recognition and measurement**

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

**- Cost Model**

Property, Plant and Equipment is stated at cost excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

**Subsequent Cost**

These are costs that are recognised in the carrying amount of an item, if it is probable that the future economic benefits embodied within that part will flow to the company and it can be reliably measured.

**Depreciation**

The provision for depreciation is calculated by using the straight line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

| Asset Category         | Rate of Depreciation (per annum) |
|------------------------|----------------------------------|
| • Furniture & Fittings | 12.5% - 33.33%                   |
| • Office Equipment     | 12.5%                            |
| • Motor Vehicle        | 12.5%                            |
| • Computer Equipment   | 25%                              |

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

**Derecognition**

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

**4.3.2 Intangible Assets**

The intangible assets include the value of computer software.

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company.

**Amortization**

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows;

| Asset Category      | Useful life |
|---------------------|-------------|
| • Computer software | 10 Years    |

The residual value of the intangible asset is zero.

**4.3.3 Impairment of Non-Financial Assets**

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

**4.4 Finance Lease**

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Company is a lessor under finance leases the amounts due under the leases, after deduction of unearned charges, are included in 'Lease rentals receivables and stock out on hire. The finance income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'Property, plant and equipment' and the corresponding liability to the lessor is included in 'Due to Banks'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

**4.5 Taxation**

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in the Statement of Comprehensive Income.

#### **4.5.1 Current Taxes**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the relevant tax legislation.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

#### **4.5.2 Deferred Taxation**

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

#### **4.5.3 VAT on Financial Services**

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto.

#### **4.6 Financial Liabilities**

##### **Initial recognition and measurement**

Financial instruments issued by the Company that are not designated as fair value through profit or loss, are classified as other financial liabilities, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset for a fixed number of own equity shares.

The Company recognizes financial liabilities in the Statement of Financial Position when the Company becomes a party to the contractual provisions of the financial liability.

After initial measurement, other financial liabilities are subsequently measured at amortized cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

#### **Derecognition of Financial Liabilities**

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

#### **Other Financial Liabilities**

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Debt issued and other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

#### **Borrowings**

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

### **4.7 Provisions**

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

#### 4.8 Retirement Benefit Obligations

##### (i) Defined Benefit Plan – Gratuity

The Company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit Method (PUC) as required by **LKAS 19, Employee Benefits**.

The item is stated under Defined Benefit Liability in the Statement of financial position.

##### Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.

##### Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

##### (ii) Defined Contribution Plan

The Company also operates a defined contribution plan. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

##### - Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee's monthly gross salary (excluding overtime) to the Provident Fund.

##### - Employees' Trust Fund

The Company contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

#### 4.9 Recognition of Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

##### 4.9.1 Interest Income and Interest Expense

For all financial instruments measured at amortised cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the Effective Interest Rate.

Effective Interest Rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the Effective Interest Rate, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original Effective Interest Rate and the change in carrying amount is recorded as 'Interest and similar income' for financial assets or 'Interest and similar expense' for financial liabilities. However, for a reclassified financial asset for which the Company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the Effective Interest Rate from the date of the change in estimate.

When the carrying amount of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

#### **4.9.2 Fee and Commission Income**

The company earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

#### **4.9.3 Fee income earned from services that are provided over a certain period of time**

Fees earned for the provision of services over a period of time are accrued over that period. These fees include Credit related fees & commission, Service charge, Transfer Fees and other fees income. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the Effective Interest Rate on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight line basis.

#### **4.9.4 Dividend Income**

Dividend income is recognised when the right to receive the payment is established.

#### **4.9.5 Net Trading Income**

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

#### **4.9.6 Dividends on Ordinary Shares**

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

#### **4.10 Statement of Cash Flows**

The Statement of Cash flows is prepared using the indirect method, as stipulated in LKAS 7- "Statement of Cash Flows". Cash and cash equivalents comprise cash in hand; cash at bank, bank overdrafts and Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

#### **4.11 Segment Reporting**

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments).

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

#### **4.12 STANDARDS ISSUED BUT NOT YET EFFECTIVE**

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 March 2016 reporting periods. None of those have been early adopted by the Company.

##### **SLFRS 9 Financial Instruments**

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

##### **SLFRS 14 Regulatory Deferral Accounts**

SLFRS 14 is an interim standard which provides relief for first time -adopters of SLFRS in relation to the accounting for certain balances that arise from rate-regulated activities ('regulatory deferral accounts'). The standard permits these entities to continue to apply their previous GAAP accounting policies for the recognition, measurement, impairment and derecognition of regulatory deferral accounts.

SLFRS 14 is effective for annual periods beginning on or after 1 January 2016.

##### **SLFRS 15 Revenue from Contracts with Customers**

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

Management believes that the SLFRS 14 would not be applicable for the Company, as it is an existing SLFRS preparer/does not involve in rate regulatory activities. Pending the completion of the detailed impact analysis, possible Impact from SLFRS 9 and SLFRS 15 is not reasonably estimable as of the reporting date.

The following amendments and improvements are not expected to have a significant impact on the Company's financial statements.

- Clarification of Acceptable Methods of Depreciation and Amortization (Amendments to LKAS 16 and LKAS 38).
- Annual Improvements to SLFRSs 2012–2014 Cycle – various standards.
- Disclosure Initiative (Amendments to LKAS 1).

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**5. INCOME**

|                              | <b>2016<br/>Rs.</b>  | <b>2015<br/>Rs.</b> |
|------------------------------|----------------------|---------------------|
| Interest Income              | 1,189,278,894        | 853,772,285         |
| Fee & Commission Income      | 111,586,810          | 91,787,158          |
| Net Gain/(Loss) from Trading | (582,293)            | 1,830,282           |
| Other Operating Income       | 16,949,952           | 10,720,914          |
|                              | <u>1,317,233,363</u> | <u>958,110,639</u>  |

**5.1 Interest Income**

|                                                                  |                      |                    |
|------------------------------------------------------------------|----------------------|--------------------|
| Loans and Advances                                               | 130,926,781          | 169,516,584        |
| Lease Rentals Receivable & Stock out on hire                     | 989,663,807          | 629,677,071        |
| Financial Investments - Held to Maturity & Repurchase Agreements | 44,223,302           | 32,025,303         |
| Financial Investments -Debt Securities                           | 4,962,391            | 6,691,036          |
| Other Financial Assets                                           | 2,818,437            | 1,119,565          |
| Placement with Banks                                             | 16,684,176           | 14,742,726         |
| <b>Total Interest Income</b>                                     | <u>1,189,278,894</u> | <u>853,772,285</u> |

**5.2 Interest Expenses**

|                                                  |                    |                    |
|--------------------------------------------------|--------------------|--------------------|
| Due to Banks                                     | 8,348,442          | 20,645,189         |
| Due to Customers                                 | 471,613,582        | 384,361,629        |
| Debt Instruments Issued and Other Borrowed Funds | 1,259,479          | 4,907,223          |
| <b>Total Interest Expenses</b>                   | <u>481,221,503</u> | <u>409,914,041</u> |

**Notional**

The Inland Revenue Act No.10 of 2007, provided that a company which derives interest income from the secondary market transactions in Government Securities ( on or after April 1, 2002 ) would be entitled to a notional tax credit ( being one ninth of the net interest income ) provided such interest income forms part of the statutory income of the Company for that year of assessment.

Accordingly the net interest income earned from the secondary market transactions in Government Securities for the year, has been grossed up in the Financial Statement & the resulting notional Tax credit amounts to Rs.4,422,331/- (2015 - Rs.3,202,530/-)

**6. NET FEE AND COMMISSION INCOME**

|                                          | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|------------------------------------------|---------------------|---------------------|
| <b>6.1 Fee and Commission Income</b>     |                     |                     |
| Credit Related Fees and Commissions      | 12,266,379          | 8,178,477           |
| Service Charge                           | 93,190,829          | 74,541,807          |
| Transfer Fees                            | 5,496,192           | 8,214,255           |
| Other Fees                               | 633,410             | 852,619             |
| <b>Total Fee and Commission Income</b>   | <u>111,586,810</u>  | <u>91,787,158</u>   |
| <b>6.2 Fee and Commission Expenses</b>   |                     |                     |
| Brokerage Fees                           | 76,888,915          | 45,314,982          |
| <b>Total Fee and Commission Expenses</b> | <u>76,888,915</u>   | <u>45,314,982</u>   |
| <b>6.3 Net Fee and Commission Income</b> | <u>34,697,895</u>   | <u>46,472,176</u>   |

**7. NET GAIN/(LOSS) FROM TRADING**

|                                                                                          | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|------------------------------------------------------------------------------------------|---------------------|---------------------|
| Dividend Income from Financial Investments - Held for Trading                            | 245,369             | 268,181             |
| Appreciation/ (Depreciation) in Market Value of Financial Investments - Held for Trading | (827,662)           | 4,594,180           |
| Profit /(Loss) on sale of Financial Investments - Held for Trading                       | -                   | (3,032,079)         |
|                                                                                          | <u>-582,293</u>     | <u>1,830,282</u>    |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

|                                                                      |                    |                    |
|----------------------------------------------------------------------|--------------------|--------------------|
| <b>8. OTHER OPERATING INCOME</b>                                     | <b>2016</b>        | <b>2015</b>        |
|                                                                      | <b>Rs.</b>         | <b>Rs.</b>         |
| Income from Sale of Available - for-Sale Financial Investments       | 8,924,199          | 3,918,539          |
| Profit/(loss) on disposal of Property & Equipment                    | (19,829)           | (36,642)           |
| Bad Debt Recoveries                                                  | 1,550,864          | 4,275,038          |
| Rent Income from Sublease of Building                                | 2,833,650          | 2,100,000          |
| Others                                                               | 3,661,068          | 463,978            |
| <b>Total Other Operating Income</b>                                  | <b>16,949,952</b>  | <b>10,720,913</b>  |
| <b>9. IMPAIREMENT CHARGES/ (REVERSAL) FOR LOANS AND OTHER LOSSES</b> | <b>2016</b>        | <b>2015</b>        |
| <b>9.1 Individual</b>                                                | <b>Rs.</b>         | <b>Rs.</b>         |
| Loans and Advances                                                   | (511,617)          | 5,553,394          |
| Lease Rentals Receivable & Stock Out on Hire                         | 38,513,173         | 52,129,140         |
| Other Debtors                                                        | (2,174,994)        | 5,776,472          |
|                                                                      | <b>35,826,562</b>  | <b>63,459,007</b>  |
| <b>9.2 Collective</b>                                                |                    |                    |
| Loans and Advances                                                   | 1,755,479          | 1,352,839          |
| Lease Rentals Receivable & Stock Out on Hire                         | 107,376,648        | (7,890,463)        |
| Other Debtors                                                        | 80,881,428         | 58,671,172         |
|                                                                      | <b>190,013,555</b> | <b>52,133,547</b>  |
| <b>Total Impairment charges/ (Reversal) for Loans and Advances</b>   | <b>225,840,117</b> | <b>115,592,555</b> |
| <b>10. PERSONNEL COSTS</b>                                           | <b>2016</b>        | <b>2015</b>        |
|                                                                      | <b>Rs.</b>         | <b>Rs.</b>         |
| Salaries and Bonus                                                   | 122,728,343        | 83,931,216         |
| Employer's Contribution to EPF                                       | 12,690,484         | 9,037,166          |
| Employer's Contribution to ETF                                       | 3,172,621          | 2,259,292          |
| Gratuity Charge/ (Reversals) for the Year (Note 35.1)                | 3,788,956          | 2,803,208          |
| Other Allowances & Staff Related Expenses                            | 24,536,245         | 20,556,947         |
|                                                                      | <b>166,916,649</b> | <b>118,587,829</b> |
| <b>11. DEPRECIATION &amp; AMORTIZATION</b>                           | <b>2016</b>        | <b>2015</b>        |
|                                                                      | <b>Rs.</b>         | <b>Rs.</b>         |
| Depreciation of Property Plant & Equipment                           | 11,416,894         | 7,804,505          |
| Amortization of intangible assets                                    | 1,491,717          | 4,607,033          |
|                                                                      | <b>12,908,611</b>  | <b>12,411,538</b>  |
| <b>12. OTHER OPERATING EXPENSES</b>                                  | <b>2016</b>        | <b>2015</b>        |
|                                                                      | <b>Rs.</b>         | <b>Rs.</b>         |
| Directors' Emoluments                                                | 9,945,000          | 9,690,000          |
| Auditors Remuneration                                                | 1,022,800          | 958,165            |
| - Audit - Current year provision                                     | (174,205)          | (22,265)           |
| - (Over)/Under Provision                                             | 250,000            | 250,000            |
| -Non Audit                                                           | 8,556,393          | 7,546,754          |
| Professional & Legal Expenses                                        | 102,575,230        | 80,902,936         |
| Office Administration & Establishment Expenses                       | 35,087,952         | 22,730,699         |
| Advertising & Business Promotion Expenses                            | 6,162,461          | 4,536,552          |
| Deposit Insurance premium                                            | 29,362,582         | 21,063,524         |
| Others                                                               | <b>192,788,213</b> | <b>147,656,365</b> |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**13. TAXATION****13.1 The major components of income tax expense for the years ended 31 March are as follows.**

|                                                      | <b>2016</b>              | <b>2015</b>              |
|------------------------------------------------------|--------------------------|--------------------------|
|                                                      | <b>Rs.</b>               | <b>Rs.</b>               |
| <b>(A) Statement of Profit or Loss</b>               |                          |                          |
| <b>Current Income Tax</b>                            |                          |                          |
| Income Tax for the year                              | 83,197,598               | 42,626,511               |
| <b>Deferred Tax</b>                                  |                          |                          |
| Deferred Taxation Charge/ (Reversal) (Refer Note 29) | (42,841,368)             | (17,918,692)             |
|                                                      | <u>40,356,230</u>        | <u>24,707,819</u>        |
| <b>(B) Other Comprehensive Income</b>                |                          |                          |
| <b>Deferred Tax</b>                                  |                          |                          |
| Deferred Taxation Charge/ (Reversal) (Refer Note 29) | (132,018)                | (372,030)                |
|                                                      | <u>(132,018)</u>         | <u>(372,030)</u>         |
| <b>(C) Total Tax Expense for the year</b>            | <u><u>40,224,212</u></u> | <u><u>24,335,789</u></u> |

**13.2 Reconciliation of Accounting Profit and Taxable Income**

A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the Years ended 31 March 2016 and 2015 is as follows.

|                                                 | <b>2016</b>              | <b>2015</b>              |
|-------------------------------------------------|--------------------------|--------------------------|
|                                                 | <b>Rs.</b>               | <b>Rs.</b>               |
| <b>Accounting Profit Before Income Taxation</b> | 130,480,894              | 97,509,389               |
| <b>Adjustments</b>                              |                          |                          |
| Capital Portion of Leasing Rental Due           | 1,464,427,833            | 823,917,985              |
| Non-taxable Income/ Losses                      | 157,486,281              | 95,965,689               |
| Disallowable Expenses                           | -11,832,579              | (10,279,011)             |
| Allowable Expenses                              | -1,443,428,152           | (841,008,092)            |
| Total Statutory Income                          | <u>297,134,277</u>       | <u>166,105,961</u>       |
| Claim on Carried Forward Tax Losses             | -                        | (13,868,422)             |
| Taxable Income                                  | <u>297,134,277</u>       | <u>152,237,539</u>       |
| Income Tax Rate (%)                             | <u>28%</u>               | <u>28%</u>               |
| Income Tax                                      | 83,197,598               | 42,626,511               |
| Deferred Taxation Charge/(Reversal) (Note 29)   | (42,841,368)             | (17,918,692)             |
| Total Tax Expense (Note 13.1 (A))               | <u><u>40,356,230</u></u> | <u><u>24,707,819</u></u> |

**14. BASIC EARNINGS PER ORDINARY SHARE**

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

| <b>For the year ended 31 st March</b>                                                   | <b>2016</b>        | <b>2015</b>        |
|-----------------------------------------------------------------------------------------|--------------------|--------------------|
| Profit/ (Loss) attributable to Ordinary Shareholders for Basic Earnings Per Share (Rs.) | 90,124,664         | 72,801,568         |
| Weighted Average Number of Ordinary Shares                                              | 37,000,000         | 37,000,000         |
| Basic Earnings per ordinary share (Rs.)                                                 | <u><u>2.44</u></u> | <u><u>1.97</u></u> |

**15. CASH AND BANK BALANCES**

|                     | <b>2016</b>              | <b>2015</b>              |
|---------------------|--------------------------|--------------------------|
|                     | <b>Rs.</b>               | <b>Rs.</b>               |
| Cash in Hand        | 5,836,617                | 5,679,888                |
| Balances with Banks | 67,548,678               | 62,817,495               |
|                     | <u><u>73,385,295</u></u> | <u><u>68,497,383</u></u> |

**15.1 Cash and Cash Equivalents in the Cash Flow Statement**

|                                                                                | <b>2016</b>               | <b>2015</b>               |
|--------------------------------------------------------------------------------|---------------------------|---------------------------|
|                                                                                | <b>Rs.</b>                | <b>Rs.</b>                |
| Cash and Bank Balances                                                         | 73,385,295                | 68,497,383                |
| Bank Overdrafts                                                                | (21,753,939)              | (33,957,227)              |
| Treasury Bills and Repurchase Agreements                                       | 630,158,527               | 426,888,521               |
| Placement with Banks                                                           | 224,049,147               | 283,599,123               |
| <b>Total Cash and Cash Equivalents for the purpose of Cash Flow Statements</b> | <u><u>905,839,030</u></u> | <u><u>745,027,800</u></u> |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**16. PLACEMENT WITH BANKS**

|                                                                                                                                       | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|---------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------|
| Fixed Deposit Investments                                                                                                             | 224,098,165         | 283,645,333         |
|                                                                                                                                       | <u>224,098,165</u>  | <u>283,645,333</u>  |
| Fixed Deposit Investments include Investments amounting to Rs.34,000,000/- that have been Pledged for facilities obtained from Banks. |                     |                     |

**17. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT**

|                        | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|------------------------|---------------------|---------------------|
| Repurchased Agreements | 630,158,527         | 426,888,521         |
|                        | <u>630,158,527</u>  | <u>426,888,521</u>  |

**18. FINANCIAL ASSETS- HELD FOR TRADING**

|                             | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|-----------------------------|---------------------|---------------------|
| Quoted equities (Note 18.1) | 6,915,241           | 7,370,358           |
|                             | <u>6,915,241</u>    | <u>7,370,358</u>    |

**18.1 DEALING SECURITIES**

|                                               | <b>2016</b>         |                  |                     | <b>2015</b>         |                  |                     |
|-----------------------------------------------|---------------------|------------------|---------------------|---------------------|------------------|---------------------|
| <b>Quoted Shares</b>                          | <b>No of Shares</b> | <b>Cost</b>      | <b>Market value</b> | <b>No of Shares</b> | <b>Cost</b>      | <b>Market value</b> |
| <b>Plantations</b>                            | <b>Rs.</b>          | <b>Rs.</b>       | <b>Rs.</b>          | <b>Rs.</b>          | <b>Rs.</b>       | <b>Rs.</b>          |
| <b>Hotels &amp; Travels</b>                   |                     |                  |                     |                     |                  |                     |
| Hotel Sigiriya PLC                            | -                   | -                | -                   | -                   | -                | -                   |
| Mahaweli Reach Hotels PLC                     | 9,400               | 365,104          | 212,440             | 9,400               | 365,104          | 197,400             |
| Renuka City Hotel PLC                         | 1,300               | 394,136          | 421,720             | 1,300               | 394,136          | 429,130             |
|                                               | <u>10,700</u>       | <u>759,240</u>   | <u>634,160</u>      | <u>10,700</u>       | <u>759,240</u>   | <u>626,530</u>      |
| <b>Diversified Holdings</b>                   |                     |                  |                     |                     |                  |                     |
| John Keells Holdings PLC                      | 2,333               | 490,343          | 345,284             | 2,000               | 482,573          | 398,200             |
| JKH WARRANTS                                  | -                   | -                | -                   | 84                  | -                | 2,239               |
| Aitken Spence PLC                             | 48                  | -                | 446                 | -                   | -                | -                   |
|                                               | <u>2,381</u>        | <u>490,343</u>   | <u>345,730</u>      | <u>2,084</u>        | <u>482,573</u>   | <u>400,439</u>      |
| <b>Power &amp; Energy</b>                     |                     |                  |                     |                     |                  |                     |
| Lanka IOC PLC                                 | 15,000              | 649,191          | 487,500             | 15,000              | 649,191          | 610,500             |
|                                               | <u>15,000</u>       | <u>649,191</u>   | <u>487,500</u>      | <u>15,000</u>       | <u>649,191</u>   | <u>610,500</u>      |
| <b>Banking &amp; Finance</b>                  |                     |                  |                     |                     |                  |                     |
| Sampath Bank PLC                              | 4,037               | 1,036,175        | 912,362             | 3,934               | 1,036,175        | 995,302             |
| Seylan Bank PLC - Voting                      | 1,000               | 102,131          | 86,000              | 1,000               | 102,131          | 100,000             |
| Seylan Bank PLC - Non Voting                  | 12,000              | 673,660          | 756,000             | 12,000              | 673,660          | 756,000             |
| Hatton National Bank PLC                      | 1,500               | 248,806          | 270,650             | 1,500               | 248,806          | 276,500             |
| First Capital Holdings PLC                    | 1,952               | 78,757           | 37,283              | 1,952               | 78,757           | 52,704              |
| Central Finance Company PLC                   | 1,000               | 239,149          | 210,000             | 1,000               | 239,149          | 250,100             |
| DFCC Bank                                     | 1,000               | 213,262          | 137,000             | 1,000               | 213,262          | 202,900             |
| Nations Trust Bank PLC                        | 2,000               | 183,027          | 148,400             | 2,000               | 183,027          | 200,200             |
| Union Bank PLC                                | 7,000               | 189,600          | 116,200             | 7,000               | 189,600          | 168,700             |
| Commercial Bank Of Ceylon PLC                 | 506                 | 57,740           | 57,178              | 500                 | 57,740           | 65,600              |
| Pan Asia Banking Corporation PLC              | 5,000               | 124,486          | 115,000             | 5,000               | 124,486          | 107,500             |
|                                               | <u>36,995</u>       | <u>3,146,793</u> | <u>2,846,073</u>    | <u>36,886</u>       | <u>3,146,793</u> | <u>3,175,506</u>    |
| <b>Telecommunication</b>                      |                     |                  |                     |                     |                  |                     |
| Sri Lanka Telecom PLC                         | 4,190               | 239,386          | 162,572             | 4,190               | 239,386          | 190,645             |
|                                               | <u>4,190</u>        | <u>239,386</u>   | <u>162,572</u>      | <u>4,190</u>        | <u>239,386</u>   | <u>190,645</u>      |
| <b>Manufacturing</b>                          |                     |                  |                     |                     |                  |                     |
| Singer Sri Lanka                              | 500                 | 60,672           | 58,850              | 500                 | 60,672           | 57,000              |
| Tokyo Cement Company (Lanka) PLC - Non Voting | 16,375              | 640,367.28       | 528,912.50          | 16,375              | 640,367          | 610,788             |
| Tokyo Cement Company (Lanka) PLC - Voting     | 10,000              | 444,928.00       | 370,000.00          | 10,000              | 444,928          | 549,000             |
|                                               | <u>26,875</u>       | <u>1,145,967</u> | <u>957,763</u>      | <u>26,875</u>       | <u>1,145,967</u> | <u>1,216,788</u>    |
| <b>Hospitals</b>                              |                     |                  |                     |                     |                  |                     |
| Lanka Hospital Corporation PLC                | 3,000               | 157,343          | 153,000             | 3,000               | 157,343          | 119,700             |
|                                               | <u>3,000</u>        | <u>157,343</u>   | <u>153,000</u>      | <u>3,000</u>        | <u>157,343</u>   | <u>119,700</u>      |
| <b>Investment</b>                             |                     |                  |                     |                     |                  |                     |
| Ceylon Investment PLC                         | 1,009               | 108,300          | 53,174              | 1,000               | 108,300          | 91,000              |
| Access Engineering Ltd                        | 4,000               | 150,264          | 83,200              | 4,000               | 150,264          | 76,800              |
| Ceylon Guardian Investment Trust PLC          | 505                 | 102,687          | 60,449              | 500                 | 102,687          | 92,000              |
|                                               | <u>5,514</u>        | <u>361,251</u>   | <u>196,823</u>      | <u>5,500</u>        | <u>361,251</u>   | <u>259,800</u>      |
| <b>Automobiles</b>                            |                     |                  |                     |                     |                  |                     |
| United Motors Lanka PLC                       | 500                 | 53,088           | 41,500              | 500                 | 53,088           | 44,000              |
|                                               | <u>500</u>          | <u>53,088</u>    | <u>41,500</u>       | <u>500</u>          | <u>53,088</u>    | <u>44,000</u>       |
| <b>Beverage Food &amp; Tobacco</b>            |                     |                  |                     |                     |                  |                     |
| <b>Stores Supplies</b>                        |                     |                  |                     |                     |                  |                     |
| Hemas Holdings PLC                            | 2,333               | 117,502          | 188,040             | 2,100               | 100,726          | 156,450             |
| Piramal Glass Ceylon Plc                      | 100,000             | 465,152          | 510,000             | 100,000             | 465,152          | 570,000             |
|                                               | <u>102,333</u>      | <u>582,654</u>   | <u>698,040</u>      | <u>102,100</u>      | <u>565,878</u>   | <u>726,450</u>      |
| <b>Insurance</b>                              |                     |                  |                     |                     |                  |                     |
| Peoples' Insurance PLC                        | 23,200              | 348,000          | 392,080             | -                   | -                | -                   |
|                                               | <u>23,200</u>       | <u>348,000</u>   | <u>392,080</u>      | <u>-</u>            | <u>-</u>         | <u>-</u>            |
| <b>Total</b>                                  | <u>230,688</u>      | <u>7,933,257</u> | <u>6,915,241</u>    | <u>206,835</u>      | <u>7,560,711</u> | <u>7,370,358</u>    |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**19. INVESTMENT IN DEBT SECURITIES**

|                                 | <b>2016</b> | <b>2015</b> |
|---------------------------------|-------------|-------------|
|                                 | <b>Rs.</b>  | <b>Rs.</b>  |
| Investment in Commercial Papers | -           | 49,278,340  |
|                                 | -           | 49,278,340  |

**20. LOANS AND ADVANCES**

|                                                    | <b>2016</b>          | <b>2015</b>        |
|----------------------------------------------------|----------------------|--------------------|
|                                                    | <b>Rs.</b>           | <b>Rs.</b>         |
| Real Estate Loans                                  | 6,407,673            | 6,747,673          |
| Mortgage Loans                                     | 281,054,017          | 320,499,992        |
| Vehicle Loans                                      | 2,729,872            | 8,891,317          |
| Personnel Loans                                    | 118,681,734          | 115,453,333        |
| Loans against Fixed Deposits                       | 113,678,128          | 92,517,037         |
| Staff Loans                                        | 20,075,782           | 23,047,600         |
| Revolving Loans                                    | 141,365,811          | 112,807,582        |
| Business Loans                                     | 71,561,755           | -                  |
| Other Loans                                        | 494,265,499          | -                  |
| Loans granted to Related Party                     | -                    | 19,087,954         |
|                                                    | 1,249,820,271        | 699,052,488        |
| Less : Allowance for Impairment Losses (Note 20.1) | (61,273,426)         | (61,803,888)       |
| <b>Net Loans and Advances</b>                      | <b>1,188,546,845</b> | <b>637,248,600</b> |

**20.1 Allowance for Impairment Losses**

|                                                                                                                               | <b>2016</b> | <b>2015</b> |
|-------------------------------------------------------------------------------------------------------------------------------|-------------|-------------|
|                                                                                                                               | <b>Rs.</b>  | <b>Rs.</b>  |
| As at 01 April                                                                                                                | 61,803,888  | 63,196,864  |
| Charge / (Reversal) for the year                                                                                              | 1,243,861   | 6,906,233   |
| Amounts written off                                                                                                           | (1,774,323) | (8,299,209) |
| As at 31 March                                                                                                                | 61,273,426  | 61,803,888  |
| Individual Impairment                                                                                                         | 11,119,767  | 11,631,385  |
| Collective Impairment                                                                                                         | 50,153,659  | 50,172,503  |
|                                                                                                                               | 61,273,426  | 61,803,888  |
| Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance | 59,953,056  | 70,667,998  |

**21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE**

|                                                    | <b>2016</b>          | <b>2015</b>          |
|----------------------------------------------------|----------------------|----------------------|
|                                                    | <b>Rs.</b>           | <b>Rs.</b>           |
| <b>Gross rentals receivables</b>                   |                      |                      |
| - Lease Rentals                                    | 4,841,637,384        | 3,578,983,680        |
| - Amounts Receivable from Hirers                   | 212,885,003          | 523,580,510          |
|                                                    | 5,054,522,387        | 4,102,564,189        |
| Less: Unearned Income                              | (1,175,976,821)      | (1,000,148,863)      |
| <b>Net rentals receivables</b>                     | <b>3,878,545,566</b> | <b>3,102,415,327</b> |
| Less : Rental Received In Advance                  | (20,500)             | (124,357)            |
| Less : Suspended VAT                               | (5,492,338)          | (3,393,038)          |
|                                                    | 3,873,032,728        | 3,098,897,932        |
| Less : Allowance for Impairment Losses (Note 21.1) | (276,780,949)        | (195,612,684)        |
| Total net rentals receivable (Note 21.2, 21.3)     | 3,596,251,779        | 2,903,285,248        |

Lease & hirers receivables include receivables amounting to Rs. 326,560,622.96/- that have been Pledged for facilities obtained from Banks.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)****21.1 Allowance for Impairment Losses**

|                                                                                                                               | <b>2016</b>        | <b>2015</b>        |
|-------------------------------------------------------------------------------------------------------------------------------|--------------------|--------------------|
|                                                                                                                               | <b>Rs.</b>         | <b>Rs.</b>         |
| As at 01 April                                                                                                                | 195,612,684        | 151,926,289        |
| Charge / (Reversal) for the year                                                                                              | 145,889,821        | 44,238,677         |
| Amounts written off                                                                                                           | (64,721,556)       | (552,282)          |
| As at 31 March                                                                                                                | <u>276,780,949</u> | <u>195,612,684</u> |
| Individual Impairment                                                                                                         | 57,988,976         | 69,240,872         |
| Collective Impairment                                                                                                         | 218,791,973        | 126,371,812        |
|                                                                                                                               | <u>276,780,949</u> | <u>195,612,684</u> |
| Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance | <u>97,095,662</u>  | <u>115,071,901</u> |

|                                        | <b>Within one year</b> | <b>1 - 5 years</b>   | <b>Over 5 years</b> | <b>Total</b>         |
|----------------------------------------|------------------------|----------------------|---------------------|----------------------|
|                                        | <b>Rs.</b>             | <b>Rs.</b>           | <b>Rs.</b>          | <b>Rs.</b>           |
| <b>21.2 As at 31st March 2016</b>      |                        |                      |                     |                      |
| <b>Gross rentals receivables</b>       |                        |                      |                     |                      |
| - Lease Rentals                        | 2,608,328,913          | 2,233,296,837        | 11,634              | 4,841,637,384        |
| - Amounts Receivable from Hirers       | 165,402,739            | 47,482,264           | -                   | 212,885,003          |
|                                        | <u>2,773,731,652</u>   | <u>2,280,779,101</u> | <u>11,634</u>       | <u>5,054,522,387</u> |
| Less: Unearned Income                  | -767,466,097           | -408,510,589         | (135)               | -1,175,976,821       |
| <b>Net rentals receivables</b>         | <u>2,006,265,555</u>   | <u>1,872,268,512</u> | <u>11,499</u>       | <u>3,878,545,566</u> |
| Less : Rental Received In Advance      |                        |                      |                     | (20,500)             |
| Less : Suspended VAT                   |                        |                      |                     | (5,492,338)          |
|                                        |                        |                      |                     | <u>3,873,032,728</u> |
| Less : Allowance for Impairment Losses |                        |                      |                     | (276,780,949)        |
| Total net rentals receivable           |                        |                      |                     | <u>3,596,251,779</u> |

|                                        | <b>Within one year</b> | <b>1 - 5 years</b>   | <b>Over 5 years</b> | <b>Total</b>         |
|----------------------------------------|------------------------|----------------------|---------------------|----------------------|
|                                        | <b>Rs.</b>             | <b>Rs.</b>           | <b>Rs.</b>          | <b>Rs.</b>           |
| <b>21.3 As at 31st March 2015</b>      |                        |                      |                     |                      |
| <b>Gross rentals receivables</b>       |                        |                      |                     |                      |
| - Lease Rentals                        | 1,714,060,734          | 1,864,855,583        | 67,363              | 3,578,983,680        |
| - Amounts Receivable from Hirers       | 353,080,049            | 170,500,462          | -                   | 523,580,510          |
|                                        | <u>2,067,140,783</u>   | <u>2,035,356,044</u> | <u>67,363</u>       | <u>4,102,564,190</u> |
| Less: Unearned Income                  | -608,135,623           | -392,012,455         | (784)               | -1,000,148,862       |
| <b>Net rentals receivables</b>         | <u>1,459,005,160</u>   | <u>1,643,343,589</u> | <u>66,579</u>       | <u>3,102,415,328</u> |
| Less : Rental Received In Advance      |                        |                      |                     | (124,358)            |
| Less : Suspended VAT                   |                        |                      |                     | (3,393,038)          |
|                                        |                        |                      |                     | <u>3,098,897,932</u> |
| Less : Allowance for Impairment Losses |                        |                      |                     | (195,612,684)        |
| Total net rentals receivable           |                        |                      |                     | <u>2,903,285,248</u> |

**22. FINANCIAL INVESTMENTS - AVAILABLE FOR SALE**

|                     | <b>2016</b>   | <b>2015</b>        |
|---------------------|---------------|--------------------|
|                     | <b>Rs.</b>    | <b>Rs.</b>         |
| Unquoted Equities * | 80,400        | 80,400             |
| Investment In Units | -             | 100,130,255        |
|                     | <u>80,400</u> | <u>100,210,655</u> |

\* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

|                                                                                                                               |                          |                    |
|-------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------|
| <b>23. FINANCIAL INVESTMENTS - HELD TO MATURITY</b>                                                                           | <b>2016</b>              | <b>2015</b>        |
|                                                                                                                               | <b>Rs.</b>               | <b>Rs.</b>         |
| Government of Sri Lanka Treasury Bonds                                                                                        | 21,669,813               | 21,150,414         |
|                                                                                                                               | <u>21,669,813</u>        | <u>21,150,414</u>  |
| <b>24. OTHER FINANCIAL ASSETS</b>                                                                                             | <b>2016</b>              | <b>2015</b>        |
|                                                                                                                               | <b>Rs.</b>               | <b>Rs.</b>         |
| Other Receivables                                                                                                             | 207,612,266              | 131,912,993        |
| Deposit                                                                                                                       | 11,132,799               | 8,305,173          |
| Due From Related Parties                                                                                                      | 22,714,432               | 4,539,139          |
|                                                                                                                               | <u>241,459,497</u>       | <u>144,757,305</u> |
| Less : Allowance for Impairment Losses (Note 24.1)                                                                            | (167,657,318)            | (102,627,971)      |
|                                                                                                                               | <u>73,802,179</u>        | <u>42,129,334</u>  |
| <b>24.1 Allowance for Impairment Losses</b>                                                                                   |                          |                    |
| Balance at the Beginning                                                                                                      | 102,627,971              | 38,227,884         |
| Charge / (Reversal) for the year                                                                                              | 78,706,435               | 64,447,644         |
| Amounts written off                                                                                                           | (13,677,088)             | (47,557)           |
| Balance at the end of the year                                                                                                | <u>167,657,318</u>       | <u>102,627,971</u> |
| Individual Impairment                                                                                                         | 3,601,478                | 5,776,472          |
| Collective Impairment                                                                                                         | 164,055,840              | 96,851,499         |
|                                                                                                                               | <u>167,657,318</u>       | <u>102,627,971</u> |
| Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance | <u>16,487,160</u>        | <u>15,681,854</u>  |
| <b>25. REAL ESTATE STOCK</b>                                                                                                  | <b>2016</b>              | <b>2015</b>        |
|                                                                                                                               | <b>Rs.</b>               | <b>Rs.</b>         |
| Real Estate Stocks                                                                                                            | 83,066,481               | 97,139,978         |
|                                                                                                                               | <u>83,066,481</u>        | <u>97,139,978</u>  |
| <b>26. OTHER NON FINANCIAL ASSETS</b>                                                                                         | <b>2016</b>              | <b>2015</b>        |
|                                                                                                                               | <b>Rs.</b>               | <b>Rs.</b>         |
| Advances                                                                                                                      | 75,030,292               | 7,581,407          |
| Pre-paid Staff Cost                                                                                                           | 6,118,365                | 7,114,184          |
| Other Receivables                                                                                                             | 212,630                  | 57,780,126         |
| Pre Paid Rent Deposit                                                                                                         | 6,073,901                | 3,019,041          |
| Pre-Paid Expenses                                                                                                             | 10,459,636               | 6,290,569          |
|                                                                                                                               | <u>97,894,824</u>        | <u>81,785,327</u>  |
| <b>27. INTANGIBLE ASSETS</b>                                                                                                  | <b>Computer Software</b> |                    |
|                                                                                                                               | <b>2016</b>              | <b>2015</b>        |
|                                                                                                                               | <b>Rs.</b>               | <b>Rs.</b>         |
| <b>Cost</b>                                                                                                                   |                          |                    |
| Cost as at 01st April                                                                                                         | 37,522,025               | 32,014,631         |
| Additions                                                                                                                     | 6,859,530                | 5,507,394          |
| As at 31 March                                                                                                                | <u>44,381,555</u>        | <u>37,522,025</u>  |
| <b>Amortisation &amp; Impairment:</b>                                                                                         |                          |                    |
| As at 1 April                                                                                                                 | 27,280,942               | 22,673,909         |
| Amortisation Charge for the year                                                                                              | 1,491,717                | 4,607,033          |
| As at 31 March                                                                                                                | <u>28,772,659</u>        | <u>27,280,942</u>  |
| <b>Net book value:</b>                                                                                                        |                          |                    |
| As at 31 March                                                                                                                | <u>15,608,896</u>        | <u>10,241,083</u>  |

**Nature and Amortization Method**

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**28. PROPERTY, PLANT AND EQUIPMENT**

| <b>28.1 Gross Carrying Amounts</b>       | <b>Balance<br/>As at<br/>01.04.2015<br/>Rs.</b> | <b>Additions/<br/>Transfers<br/>Rs.</b> | <b>Disposals<br/>Rs.</b> | <b>Balance<br/>As at<br/>31.03.2016<br/>Rs.</b> |
|------------------------------------------|-------------------------------------------------|-----------------------------------------|--------------------------|-------------------------------------------------|
| <b>Cost</b>                              |                                                 |                                         |                          |                                                 |
| <b>Freehold Assets</b>                   |                                                 |                                         |                          |                                                 |
| Land                                     | -                                               | 28,094,075                              | -                        | 28,094,075                                      |
| Furniture & Fittings                     | 27,924,887                                      | 20,084,551                              | -                        | 48,009,438                                      |
| Office Equipment                         | 12,633,838                                      | 2,664,677                               | (90,901)                 | 15,207,614                                      |
| Motor Vehicles                           | 3,325,613                                       | -                                       | -                        | 3,325,613                                       |
| Computer Hardware                        | 22,399,654                                      | 9,629,563                               | (691,234)                | 31,337,983                                      |
| <b>Total Value of Depreciable Assets</b> | <b>66,283,992</b>                               | <b>60,472,866</b>                       | <b>(782,135)</b>         | <b>125,974,723</b>                              |

| <b>28.2 Depreciation</b> | <b>Balance<br/>As at<br/>01.04.2015<br/>Rs.</b> | <b>Charge<br/>for the<br/>Period<br/>Rs.</b> | <b>Disposals<br/>Rs.</b> | <b>Balance<br/>As at<br/>31.03.2016<br/>Rs.</b> |
|--------------------------|-------------------------------------------------|----------------------------------------------|--------------------------|-------------------------------------------------|
| <b>Freehold Assets</b>   |                                                 |                                              |                          |                                                 |
| Furniture & Fittings     | 17,805,100                                      | 4,866,349                                    | -                        | 22,671,449                                      |
| Office Equipment         | 6,087,255                                       | 1,715,985                                    | (38,822)                 | 7,764,418                                       |
| Motor Vehicles           | 3,187,045                                       | 138,568                                      | -                        | 3,325,613                                       |
| Computer Hardware        | 12,397,220                                      | 4,695,992                                    | (691,234)                | 16,401,978                                      |
|                          | <b>39,476,620</b>                               | <b>11,416,894</b>                            | <b>(730,056)</b>         | <b>50,163,458</b>                               |

| <b>28.3 Net Book Values</b>                                     | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|-----------------------------------------------------------------|---------------------|---------------------|
| <b>At Cost</b>                                                  |                     |                     |
| Land                                                            | 28,094,075          | -                   |
| Furniture & Fittings                                            | 25,337,989          | 10,119,788          |
| Office Equipment                                                | 7,443,196           | 6,546,583           |
| Motor Vehicles                                                  | -                   | 138,568             |
| Computer Hardware                                               | 14,936,005          | 10,002,434          |
| <b>Total Carrying Amount of Property, Plant &amp; Equipment</b> | <b>75,811,265</b>   | <b>26,807,373</b>   |

| <b>28.4 The useful lives of the assets are estimated as follows;</b> | <b>2016</b> | <b>2015</b> |
|----------------------------------------------------------------------|-------------|-------------|
| Furniture & Fittings                                                 | 3 - 8 Years | 3 - 8 Years |
| Office Equipment                                                     | 8 Years     | 8 Years     |
| Motor Vehicles                                                       | 8 Years     | 8 Years     |
| Computer Equipment                                                   | 4 years     | 4 years     |

**28.5 Details of Free Hold Land as at 31st March 2016**

| <b>Location</b>                        | <b>Land Extent</b> | <b>Cost<br/>Rs.</b> | <b>Valuation<br/>Rs.</b> |
|----------------------------------------|--------------------|---------------------|--------------------------|
| Avissawella Road, Galwana- Mulleriyawa | 81p                | 28,094,075          | 35,000,000               |

Valuation of freehold land of the Company was carried out as at 31st March 2016 by R T K Sirisena, AIV (Sri Lanka) using Market Comparable Method.

Fair valuation of Freehold land of the Company is considered under Level 3 of fair value hierarchy.

**28.6** During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 32,378,791/- (2015- Rs16,726,387/-) and transferred land amounting to Rs. 28,094,075/- from Real Estate Stock to Property, Plant and Equipment.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**29. DEFERRED TAXATION**

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

|                                                 | Statement of<br>Financial Position |                     | Recognized in Statement of<br>Other Comprehensive Income |                  | Recognized in Statement of<br>Profit or Loss |                     |
|-------------------------------------------------|------------------------------------|---------------------|----------------------------------------------------------|------------------|----------------------------------------------|---------------------|
|                                                 | 2016<br>Rs.                        | 2015<br>Rs.         | 2016<br>Rs.                                              | 2015<br>Rs.      | 2016<br>Rs.                                  | 2015<br>Rs.         |
| <b>Deferred Tax Liability</b>                   |                                    |                     |                                                          |                  |                                              |                     |
| Capital Allowances for Tax Purposes             |                                    |                     |                                                          |                  |                                              |                     |
| -Property Plant & Equipment                     | 5,407,824                          | 3,432,918           | -                                                        | -                | 1,974,906                                    | (99,748)            |
| -Leased Asset                                   | -                                  | 21,627,422          | -                                                        | -                | (21,627,422)                                 | (4,929,683)         |
| Define Benefit Plan- Other Comprehensive Income | -                                  | -                   | -                                                        | -                | -                                            | -                   |
|                                                 | <u>5,407,824</u>                   | <u>25,060,340</u>   | <u>-</u>                                                 | <u>-</u>         | <u>(19,652,516)</u>                          | <u>(5,029,431)</u>  |
| <b>Deferred Tax Assets</b>                      |                                    |                     |                                                          |                  |                                              |                     |
| Capital Allowances for Tax Purposes             |                                    |                     |                                                          |                  |                                              |                     |
| -Leased Asset                                   | (31,099,822)                       | -                   | -                                                        | -                | (31,099,822)                                 | -                   |
| Defined Benefit Plans- Income Statement         | (3,839,603)                        | (2,840,887)         | -                                                        | -                | (998,716)                                    | (691,742)           |
| Define Benefit Plan- Other Comprehensive Income | (430,211)                          | (298,193)           | (132,018)                                                | (372,030)        | -                                            | -                   |
| Provision for Impairment on Financial Assets    | (31,457,724)                       | (40,367,410)        | -                                                        | -                | 8,909,686                                    | (16,080,677)        |
| Brought Forward Tax Losses                      | -                                  | -                   | -                                                        | -                | -                                            | 3,883,158           |
|                                                 | <u>(66,827,360)</u>                | <u>(43,506,490)</u> | <u>(132,018)</u>                                         | <u>(372,030)</u> | <u>(23,188,852)</u>                          | <u>(12,889,261)</u> |
| <b>Deferred income tax charge/(reversal)</b>    |                                    |                     | <u>(132,018)</u>                                         | <u>(372,030)</u> | <u>(42,841,368)</u>                          | <u>(17,918,692)</u> |
| <b>Net Deferred Tax Liability/ (Asset)</b>      | <u>(61,419,536)</u>                | <u>(18,446,150)</u> |                                                          |                  |                                              |                     |

**30. DUE TO BANKS**

|                                                                            | 2016<br>Rs.       | 2015<br>Rs.        |
|----------------------------------------------------------------------------|-------------------|--------------------|
| Bank Overdrafts                                                            | 21,753,939        | 33,957,227         |
| Securitized Borrowings and Other Bank Facilities (Note 30.2 (a), 30.2 (b)) | 25,250,153        | 121,893,315        |
| <b>Total</b>                                                               | <u>47,004,092</u> | <u>155,850,542</u> |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

## 30. DUE TO BANKS (Contd...)

|      |                                                  | 2016          |                 |            | 2015          |                 |             |
|------|--------------------------------------------------|---------------|-----------------|------------|---------------|-----------------|-------------|
|      |                                                  | Amount        | Amount          |            | Amount        | Amount          |             |
|      |                                                  | repayable     | repayable after | Total      | repayable     | repayable after | Total       |
|      |                                                  | within 1 year | 1 year          |            | within 1 year | 1 year          |             |
|      |                                                  | Rs.           | Rs.             | Rs.        | Rs.           | Rs.             | Rs.         |
| 30.1 | Due to Banks                                     |               |                 |            |               |                 |             |
|      | Securitized Borrowings and Other Bank Facilities | 25,250,153    | -               | 25,250,153 | 98,363,316    | 23,529,999      | 121,893,315 |
|      |                                                  | 25,250,153    | -               | 25,250,153 | 98,363,316    | 23,529,999      | 121,893,315 |

## 30.2 (a) Securitised Borrowings, Syndicated Loans and Other Bank Facilities

|                                     | As at<br>01.04.2015<br>Rs. | Loans<br>Obtained<br>Rs. | Interest<br>Recognized<br>Rs. | Repayments<br>Capital<br>Rs. | Interest<br>Rs. | As at<br>31.03.2016<br>Rs. | Period    | Security     |
|-------------------------------------|----------------------------|--------------------------|-------------------------------|------------------------------|-----------------|----------------------------|-----------|--------------|
| <b>Direct Bank Borrowings</b>       |                            |                          |                               |                              |                 |                            |           |              |
| <b>Term Loans</b>                   |                            |                          |                               |                              |                 |                            |           |              |
| Term Loan Bank of Ceylon            | 18,875,594                 | -                        | 1,112,110                     | 18,333,044                   | 1,162,457       | 492,203                    | 48 Months | Lease & Hire |
| Term Loan Union Bank of Colombo PLC | 70,219,721                 | -                        | 5,037,241                     | 54,461,771                   | 5,037,241       | 15,757,950                 | 48 Months | Purchase     |
| Term Loan Sampath Bank PLC          | 32,798,000                 | -                        | 2,046,839                     | 23,798,000                   | 2,046,839       | 9,000,000                  | 50 Months | Portfolio    |
|                                     | 121,893,315                | -                        | 8,196,190                     | 96,592,815                   | 8,246,537       | 25,250,153                 |           |              |

## 30.2 (b) Securitised Borrowings, Syndicated Loans and Other Bank Facilities

|                                     | As at<br>01.04.2014<br>Rs. | Loans<br>Obtained<br>Rs. | Interest<br>Recognized<br>Rs. | Repayments<br>Capital<br>Rs. | Interest<br>Rs. | As at<br>31.03.2015<br>Rs. | Period    | Security     |
|-------------------------------------|----------------------------|--------------------------|-------------------------------|------------------------------|-----------------|----------------------------|-----------|--------------|
| <b>Direct Bank Borrowings</b>       |                            |                          |                               |                              |                 |                            |           |              |
| <b>Term Loans</b>                   |                            |                          |                               |                              |                 |                            |           |              |
| Term Loan Bank of Ceylon            | 40,714,385                 | -                        | 3,578,156                     | 21,703,944                   | 3,713,003       | 18,875,594                 | 48 Months | Lease & Hire |
| Term Loan Union Bank of Colombo PLC | 119,136,652                | -                        | 11,046,689                    | 48,916,931                   | 11,046,689      | 70,219,721                 | 48 Months | Purchase     |
| Term Loan Sampath Bank PLC          | 64,982,000                 | -                        | 5,856,940                     | 32,184,000                   | 5,856,940       | 32,798,000                 | 50 Months | Portfolio    |
|                                     | 224,833,036                | -                        | 20,481,786                    | 102,804,875                  | 20,616,633      | 121,893,314                |           |              |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

|                                                             |                         |                      |                      |
|-------------------------------------------------------------|-------------------------|----------------------|----------------------|
| <b>31. DUE TO CUSTOMERS</b>                                 |                         | <b>2016<br/>Rs.</b>  | <b>2015<br/>Rs.</b>  |
| Fixed Deposits                                              |                         | 4,505,511,938        | 3,574,709,546        |
| Savings Deposits                                            |                         | 33,850,283           | 17,251,459           |
|                                                             |                         | <u>4,539,362,221</u> | <u>3,591,961,005</u> |
| <b>32. DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS</b> |                         | <b>2016<br/>Rs.</b>  | <b>2015<br/>Rs.</b>  |
| Commercial Papers                                           |                         | 31,110,631           | -                    |
|                                                             |                         | <u>31,110,631</u>    | <u>-</u>             |
| <b>33. OTHER FINANCIAL LIABILITIES</b>                      |                         | <b>2016<br/>Rs.</b>  | <b>2015<br/>Rs.</b>  |
| Trade Payables - Related Parties (33.1)                     |                         | 136,038,658          | 314,317,793          |
| Non Trade Payables - Related Parties (33.2)                 |                         | 407,755              | -                    |
| Trade Payables - Other Parties                              |                         | 485,136,258          | 2,129,407            |
| Accrued Expenses                                            |                         | 215,442,840          | 145,169,657          |
|                                                             |                         | <u>837,025,511</u>   | <u>461,616,857</u>   |
| <b>33.1 Trade Payables to Related Parties</b>               | <b>Relationship</b>     |                      |                      |
| Abans PLC                                                   | Ultimate Parent Company | 2,121,183            | 536,045              |
| Abans Auto (Pvt)Ltd                                         | Affiliate Company       | 133,917,475          | 313,781,748          |
|                                                             |                         | <u>136,038,658</u>   | <u>314,317,793</u>   |
| <b>33.2 Non Trade Payables to Related Parties</b>           | <b>Relationship</b>     |                      |                      |
| Abans Retail (Pvt) Ltd                                      | Affiliate Company       | 407,755              | -                    |
|                                                             |                         | <u>407,755</u>       | <u>-</u>             |
| <b>34. OTHER NON FINANCIAL LIABILITIES</b>                  |                         | <b>2016<br/>Rs.</b>  | <b>2015<br/>Rs.</b>  |
| VAT on Financial Services                                   |                         | 1,939,314            | 1,080,364            |
| VAT Payable                                                 |                         | 4,604,804            | -                    |
| Others                                                      |                         | 1,542,403            | 778,854              |
|                                                             |                         | <u>8,086,521</u>     | <u>1,859,218</u>     |
| <b>35. RETIREMENT BENEFIT OBLIGATIONS</b>                   |                         | <b>2016<br/>Rs.</b>  | <b>2015<br/>Rs.</b>  |
| <b>Retirement Benefit Obligations - Gratuity</b>            |                         |                      |                      |
| Balance at the beginning of the year                        |                         | 11,474,701           | 7,411,816            |
| Current Service Cost                                        |                         | 2,833,113            | 2,136,145            |
| Payments made during the year                               | -                       | 485,813              | - 69,000             |
| Interest Charged/(Reversed) for the year                    |                         | 955,843              | 667,063              |
| (Gain)/loss arising from changes in the assumption          |                         | 471,494              | 1,328,677            |
| Balance at the end of the year                              |                         | <u>15,249,338</u>    | <u>11,474,701</u>    |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

| <b>35. RETIREMENT BENEFIT OBLIGATIONS (Contd...)</b>                 |                                                                                                                                                                                                                                                                         | <b>2016</b>      | <b>2015</b>      |
|----------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
|                                                                      |                                                                                                                                                                                                                                                                         | <b>Rs.</b>       | <b>Rs.</b>       |
| <b>35.1 Expenses on Defined Benefit Plan</b>                         |                                                                                                                                                                                                                                                                         |                  |                  |
| Current Service Cost for the year                                    |                                                                                                                                                                                                                                                                         | 2,833,113        | 2,136,145        |
| Interest Charge for the year                                         |                                                                                                                                                                                                                                                                         | 955,843          | 667,063          |
|                                                                      |                                                                                                                                                                                                                                                                         | <u>3,788,956</u> | <u>2,803,208</u> |
| <b>Amount Reccognized in the Other Comprehensive Income</b>          |                                                                                                                                                                                                                                                                         |                  |                  |
| (Gain)/Loss arising from changes in the assumption (Note 35.2)       |                                                                                                                                                                                                                                                                         | 471,493          | 1,328,677        |
|                                                                      |                                                                                                                                                                                                                                                                         | <u>471,493</u>   | <u>1,328,677</u> |
| <b>35.2 (Gain) / Loss arising from the changes in the assumption</b> |                                                                                                                                                                                                                                                                         |                  |                  |
| Due to change in Demographic Assumptions                             |                                                                                                                                                                                                                                                                         | 46,728           | (256,602)        |
| Due to change in Financial Assumptions                               |                                                                                                                                                                                                                                                                         | (808,811)        | (229,058)        |
| Experience Adjustment                                                |                                                                                                                                                                                                                                                                         | 1,233,576        | 1,814,337        |
|                                                                      |                                                                                                                                                                                                                                                                         | <u>471,493</u>   | <u>1,328,677</u> |
| <b>35.3</b>                                                          | Actuarial valuation of Retiring Gratuity Obligation as at 31st March 2016 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'. |                  |                  |
| <b>35.4 Assumptions</b>                                              |                                                                                                                                                                                                                                                                         | <b>2016</b>      | <b>2015</b>      |
| Discount Rate                                                        |                                                                                                                                                                                                                                                                         | 11.23%           | 8.33%            |
| Salary Increment Rate                                                |                                                                                                                                                                                                                                                                         | 10.80%           | 9.44%            |
| Staff Turnover                                                       |                                                                                                                                                                                                                                                                         | 19.00%           | 20.00%           |
| Retirement Age                                                       |                                                                                                                                                                                                                                                                         | 60 Years         | 60 Years         |

Assumptions regarding future mortality are based on 67/70 Mortality Table and issued by the Institute of Actuaries, London.

**35.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation**

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement as at 31 March 2016. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

| <b>Increase/(Decrease) in Discount rate</b> | <b>Increase/(Decrease) in Salary Increment Rate</b> | <b>Sensitivity Effect on Statement of Comprehensive Income</b> | <b>Sensitivity Effect on Defined Benefit Obligation</b> |
|---------------------------------------------|-----------------------------------------------------|----------------------------------------------------------------|---------------------------------------------------------|
| 1%                                          | -                                                   | 639,884                                                        | (639,884)                                               |
| -1%                                         | -                                                   | (704,826)                                                      | 704,826                                                 |
| -                                           | 1%                                                  | (769,442)                                                      | 769,442                                                 |
| -                                           | -1%                                                 | 710,493                                                        | (710,493)                                               |

**35.6 Maturity Profile of the Defined Benefit Obligation Plan**

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

|                                                             | <b>2016</b>  | <b>2015</b>  |
|-------------------------------------------------------------|--------------|--------------|
|                                                             | <b>Years</b> | <b>Years</b> |
| Weighted Average Duration of the Defined Benefit Obligation | 4.87         | 4.24         |
| Average Time to Benefit Payout                              | 4.75         | 4.03         |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**35. RETIREMENT BENEFIT OBLIGATIONS (Contd...)****35.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

|                   | <b>2016</b>       | <b>2015</b>       |
|-------------------|-------------------|-------------------|
|                   | <b>Rs.</b>        | <b>Rs.</b>        |
| Less than 1 year  | 3,376,487         | 91,472            |
| Between 1-5 years | 6,258,497         | 9,924,205         |
| Between 5-10years | 3,433,626         | 1,459,024         |
| Over 10 years     | 2,180,728         | -                 |
|                   | <u>15,249,338</u> | <u>11,474,701</u> |

**36. STATED CAPITAL**

|                                                   | <b>2016</b>          |                    | <b>2015</b>          |                    |
|---------------------------------------------------|----------------------|--------------------|----------------------|--------------------|
| <b>36.1 Issued and Fully Paid-Ordinary shares</b> | <b>No. of Shares</b> | <b>Rs.</b>         | <b>No. of Shares</b> | <b>Rs.</b>         |
| At the beginning of the year                      | 37,000,000           | 382,373,630        | 37,000,000           | 382,373,630        |
| At the end of the year                            | <u>37,000,000</u>    | <u>382,373,630</u> | <u>37,000,000</u>    | <u>382,373,630</u> |

**36.2 Rights of Shareholders**

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

**37. RETAINED EARNINGS AND OTHER RESERVES**

| <b>37.1 RETAINED EARNINGS</b>               | <b>2016</b>        | <b>2015</b>       |
|---------------------------------------------|--------------------|-------------------|
|                                             | <b>Rs.</b>         | <b>Rs.</b>        |
| As at 01 April                              | 97,837,286         | 22,099,123        |
| Profit /(Loss) for the Year                 | 90,124,664         | 72,801,568        |
| Other Comprehensive Income net of tax       | (339,475)          | (956,647)         |
| Transfers to/(from) Investment Fund Account | -                  | 18,454,242        |
| Transfers to Statutory Reserve Fund         | (18,025,000)       | (14,561,000)      |
| As at 31 March                              | <u>169,597,476</u> | <u>97,837,286</u> |

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

**37.2 OTHER RESERVES**

|                                     | <b>Statutory Reserve</b> | <b>Reserve on Available for Sale Financial Instruments</b> | <b>Total</b>      |
|-------------------------------------|--------------------------|------------------------------------------------------------|-------------------|
|                                     | <b>Rs.</b>               | <b>Rs.</b>                                                 | <b>Rs.</b>        |
| As at 01 April 2015                 | 44,529,000               | 130,255                                                    | 44,659,255        |
| Transfers to/(from) during the year | 18,025,000               | (130,255)                                                  | 17,894,745        |
| As at 31 March 2016                 | <u>62,554,000</u>        | <u>-</u>                                                   | <u>62,554,000</u> |

Reserve Fund is a capital reserve which contains profits transferred as required by Section 3(b)(ii) of Central Bank Direction No. 1 of 2003.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

## 38. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

| 38.1          | As at 31st March 2016                        | HFT at Fair Value<br>Rs. | HTM at Amortised Cost<br>Rs. | L&R at Amortised Cost<br>Rs. | AFS at Fair Value<br>Rs. | Total<br>Rs.         |
|---------------|----------------------------------------------|--------------------------|------------------------------|------------------------------|--------------------------|----------------------|
| <b>Assets</b> |                                              |                          |                              |                              |                          |                      |
|               | Cash and Bank Balances                       | -                        | -                            | 73,385,295                   | -                        | 73,385,295           |
|               | Placement With Banks                         | -                        | -                            | 224,098,165                  | -                        | 224,098,165          |
|               | Repurchase Agreements                        | -                        | -                            | 630,158,527                  | -                        | 630,158,527          |
|               | Financial Investments - Held for Trading     | 6,915,241                | -                            | -                            | -                        | 6,915,241            |
|               | Financial Investments - Debt Securities      | -                        | -                            | -                            | -                        | -                    |
|               | Loans and Advances                           | -                        | -                            | 1,188,546,845                | -                        | 1,188,546,845        |
|               | Lease rentals receivable & Stock out on Hire | -                        | -                            | 3,596,251,779                | -                        | 3,596,251,779        |
|               | Financial Investments - Available for Sale   | -                        | -                            | -                            | 80,400                   | 80,400               |
|               | Financial Investments - Held to Maturity     | -                        | 21,669,813                   | -                            | -                        | 21,669,813           |
|               | Other financial assets                       | -                        | -                            | 73,802,179                   | -                        | 73,802,179           |
|               | <b>Total Financial Assets</b>                | <u>6,915,241</u>         | <u>21,669,813</u>            | <u>5,786,242,790</u>         | <u>80,400</u>            | <u>5,814,908,244</u> |

|                                                  | OFL at Amortized Cost<br>Rs. | Total<br>Rs.         |
|--------------------------------------------------|------------------------------|----------------------|
| <b>Liabilities</b>                               |                              |                      |
| Due to Banks                                     | 47,004,092                   | 47,004,092           |
| Due to Customers                                 | 4,539,362,221                | 4,539,362,221        |
| Debt Instruments Issued and Other borrowed funds | 31,110,631                   | 31,110,631           |
| Other Financial Liabilities                      | <u>837,025,511</u>           | <u>837,025,511</u>   |
| <b>Total Financial Liabilities</b>               | <u>5,454,502,455</u>         | <u>5,454,502,455</u> |

| 38.2          | As at 31st March 2015                        | HFT at Fair Value<br>Rs. | HTM at Amortised Cost<br>Rs. | L&R at Amortised Cost<br>Rs. | AFS at Fair Value<br>Rs. | Total<br>Rs.         |
|---------------|----------------------------------------------|--------------------------|------------------------------|------------------------------|--------------------------|----------------------|
| <b>Assets</b> |                                              |                          |                              |                              |                          |                      |
|               | Cash and Bank Balances                       | -                        | -                            | 68,497,383                   | -                        | 68,497,383           |
|               | Placement With Banks                         | -                        | -                            | 283,645,333                  | -                        | 283,645,333          |
|               | Repurchase Agreements                        | -                        | -                            | 426,888,521                  | -                        | 426,888,521          |
|               | Financial Investments - Held for Trading     | 7,370,358                | -                            | -                            | -                        | 7,370,358            |
|               | Financial Investments - Debt Securities      | -                        | -                            | 49,278,340                   | -                        | 49,278,340           |
|               | Loans and Advances                           | -                        | -                            | 637,248,600                  | -                        | 637,248,600          |
|               | Lease rentals receivable & Stock out on Hire | -                        | -                            | 2,903,285,248                | -                        | 2,903,285,248        |
|               | Financial Investments - Available for Sale   | -                        | -                            | -                            | 100,210,655              | 100,210,655          |
|               | Financial Investments - Held to Maturity     | -                        | 21,150,414                   | -                            | -                        | 21,150,414           |
|               | Other financial assets                       | -                        | -                            | 42,129,334                   | -                        | 42,129,334           |
|               | <b>Total Financial Assets</b>                | <u>7,370,358</u>         | <u>21,150,414</u>            | <u>4,410,972,759</u>         | <u>100,210,655</u>       | <u>4,539,704,186</u> |

|                                    | OFL at Amortized Cost<br>Rs. | Total<br>Rs.         |
|------------------------------------|------------------------------|----------------------|
| <b>Liabilities</b>                 |                              |                      |
| Due to Banks                       | 155,850,542                  | 155,850,542          |
| Due to Customers                   | 3,591,961,005                | 3,591,961,005        |
| Other Financial Liabilities        | <u>461,616,857</u>           | <u>461,616,857</u>   |
| <b>Total Financial Liabilities</b> | <u>4,209,428,404</u>         | <u>4,209,428,404</u> |

HFT - Held for Trading  
 HTM - Held-to-Maturity  
 L & R - Loans and Receivables  
 AFS - Available for Sale  
 OFL - Other Financial Liabilities

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**39. FAIR VALUE OF FINANCIAL INSTRUMENTS****Financial Instruments Recorded at Fair Value**

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

**39.1 Determination of Fair Value and Fair Value Hierarchy**

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 :Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observer able inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

**Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy**

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

| <b>As at 31st March 2016</b>                      | <b>Level 1<br/>Rs.</b> | <b>Level 2<br/>Rs.</b> | <b>Level 3<br/>Rs.</b> | <b>Total<br/>Rs.</b> |
|---------------------------------------------------|------------------------|------------------------|------------------------|----------------------|
| <b>Financial Assets</b>                           |                        |                        |                        |                      |
| <b>Financial Investments - Held for Trading</b>   |                        |                        |                        |                      |
| Quoted equities                                   | 6,915,241              | -                      | -                      | 6,915,241            |
| <b>Financial Investments - Available for Sale</b> |                        |                        |                        |                      |
| Unquoted equities                                 | -                      | -                      | 80,400                 | 80,400               |
| <b>Total Financial Assets</b>                     | <u>6,915,241</u>       | <u>-</u>               | <u>80,400</u>          | <u>6,995,641</u>     |

| <b>As at 31st March 2015</b>                      | <b>Level 1<br/>Rs.</b> | <b>Level 2<br/>Rs.</b> | <b>Level 3<br/>Rs.</b> | <b>Total<br/>Rs.</b> |
|---------------------------------------------------|------------------------|------------------------|------------------------|----------------------|
| <b>Financial Assets</b>                           |                        |                        |                        |                      |
| <b>Financial Investments - Held for Trading</b>   |                        |                        |                        |                      |
| Quoted equities                                   | 7,370,358              | -                      | -                      | 7,370,358            |
| <b>Financial Investments - Available for Sale</b> |                        |                        |                        |                      |
| Investment in Units                               | -                      | 100,130,255            | -                      | 100,130,255          |
| Unquoted equities                                 | -                      | -                      | 80,400                 | 80,400               |
| <b>Total Financial Assets</b>                     | <u>7,370,358</u>       | <u>100,130,255</u>     | <u>80,400</u>          | <u>107,581,013</u>   |

There were no financial liabilities recorded at fair value as at 31 March 2015 & 2016.

There were no transfers between Level 1 and Level 2 during 2015 & 2016.

Fair values of the Investments in Unit Trusts are ascertained using the unit prices of each Trust Funds. These investments are carried in the statement of financial position at fair value with changes in fair value recognised in the Reserve on Available for sale financial instruments.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**39. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)****39.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value**

Set out below is the comparison, by class, of the carrying amounts of fair values of the company's financial instruments that are not carried at fair value in the financial statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

|                                              | 2016            | Fair Value |               |          |               | 2015            | Fair Value |               |          |               |
|----------------------------------------------|-----------------|------------|---------------|----------|---------------|-----------------|------------|---------------|----------|---------------|
|                                              | Carrying Amount | Level 01   | Level 02      | Level 03 | Total         | Carrying Amount | Level 01   | Level 02      | Level 03 | Total         |
| Financial Assets                             | Rs.             | Rs.        | Rs.           | Rs.      | Rs.           | Rs.             | Rs.        | Rs.           | Rs.      | Rs.           |
| Financial Investments - Debt Securities      | -               | -          | -             | -        | -             | 49,278,340      | -          | 49,278,340    | -        | 49,278,340    |
| Loans and Advances                           | 1,188,546,845   | -          | 1,180,640,911 | -        | 1,180,640,911 | 637,248,600     | -          | 620,430,155   | -        | 620,430,155   |
| Lease rentals receivable & Stock out on Hire | 3,596,251,779   | -          | 3,633,442,953 | -        | 3,633,442,953 | 2,903,285,248   | -          | 3,205,230,582 | -        | 3,205,230,582 |
| Financial Investments - Held to Maturity     | 21,669,813      | -          | 21,230,364    | -        | 21,230,364    | 21,150,414      | -          | 23,475,497    | -        | 23,475,497    |
|                                              | 4,806,468,437   | -          | 4,835,314,228 | -        | 4,835,314,228 | 3,561,684,263   | 23,475,497 | 3,874,939,077 | -        | 3,898,414,574 |
| <b>Financial Liabilities</b>                 |                 |            |               |          |               |                 |            |               |          |               |
| Due to Customers                             | 4,539,362,221   | -          | 4,544,278,859 | -        | 4,544,278,859 | 3,591,961,005   | -          | 3,597,967,197 | -        | 3,597,967,197 |
| Debt                                         | 31,110,631      | -          | 31,110,631    | -        | 31,110,631    | -               | -          | -             | -        | -             |
|                                              | 4,570,472,852   | -          | 4,575,389,490 | -        | 4,575,389,490 | 3,591,961,005   | -          | 3,597,967,197 | -        | 3,597,967,197 |

The following describes the methodologies and assumptions used to determine the fair values for those financial assets & Liabilities which are not already recorded at fair value in the Financial Statements.

***Fixed Rate Financial Instruments***

Carrying amounts are considered as fair values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

***Assets & Liabilities for which Fair Value Approximates Carrying Value***

The Following is a list of financial investments whose carrying amount is a reasonable approximation of fair value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

**Assets**

Cash and Bank Balances  
Placement With Banks  
Repurchase Agreements  
Other Financial assets

**Liabilities**

Due to Banks  
Due to Customers Savings  
Debt Instruments Issued and Other borrowed funds  
Other Financial Liabilities

***Reclassification of financial assets***

There have been no reclassifications during 2015 & 2016.

#### **40. RISK MANAGEMENT DISCLOSURES**

##### **40.1 Introduction**

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

##### **40.2 Risk Management Structure**

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee currently consists of 2 Directors; Managing Director and one Non Executive Director. General Manager, Head of Finance / Assistant Accountant, Head of Credit, Head of Recoveries, Head of Branches, Manager – Risk & Compliance, Manager - IT and Manager - Corporate Affairs were also co-opted to the Committee.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

##### **40.3 Risk measurement & Reporting System and Risk Mitigation**

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.4 Credit Risk**

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

**40.4.1 Impairment Assessment**

For accounting purposes, the Company uses an incurred loss model for the recognition of losses on impaired financial assets. This means that losses can only be recognised when objective evidence of a specific loss event has been observed. Triggering events include the following:

- Significant financial difficulty of the customer
- A breach of contract such as a default of payment
- Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- It becomes probable that the customer will enter bankruptcy or encounter other financial difficulties
- Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

**Individually assessed allowances**

The Company determines the allowances appropriate for each individually significant Loans and Receivables on an individual basis, including any overdue payments of interests, credit rating down grades, or infringement of the original terms of the contract. Items considered when determining allowance amounts include the sustainability of the counterparty's business plan, its ability to improve performance if it is in a financial difficulty, projected receipts and the expected payout should bankruptcy ensue, the availability of other financial support, the realisable value of collateral and the timing of the expected cash flows. Impairment allowances are evaluated at each reporting date, unless unforeseen circumstances require more careful attention.

**Collectively assessed allowances**

Allowances are assessed collectively for losses on loans that are not individually significant and for individually significant loans and advances that have been assessed individually and found not to be impaired. Allowances are evaluated separately at each reporting date with each portfolio

The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments.

The collective assessment takes account of data from the loan portfolio (such as historical losses on the portfolio, levels of arrears, credit utilization, loan to collateral ratios and expected receipts and recoveries once impaired) or economic data (such as current economic conditions, unemployment levels and local or industry-specific problems).

## NOTES TO THE FINANCIAL STATEMENTS

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**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.4 CREDIT RISK (Contd...)****40.4.2 Maximum Exposure to Credit risk**

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

| Type of Collateral                              | Maximum Exposure to  | Fair Value of Collateral Held |                    |                      |                  | Total Collateral     | Net Exposure to      |
|-------------------------------------------------|----------------------|-------------------------------|--------------------|----------------------|------------------|----------------------|----------------------|
|                                                 |                      | Cash / Near                   | Property           | Moveable             | Other **         |                      |                      |
| As at 31 <sup>st</sup> March 2016               | Credit Risk          | Cash                          | Mortgages          | Assets *             |                  | Value                | Credit Risk          |
| Cash and Bank Balances (Excluding cash in hand) | 67,548,678           | -                             | -                  | -                    | -                | -                    | 67,548,678           |
| Placement With Banks                            | 224,098,165          | -                             | -                  | -                    | -                | -                    | 224,098,165          |
| Repurchase Agreements                           | 630,158,527          | -                             | -                  | -                    | -                | -                    | 630,158,527          |
| Financial Investments - Debt Securities         | -                    | -                             | -                  | -                    | -                | -                    | -                    |
| Loans and Advances                              | 1,249,820,271        | 113,495,177                   | 392,191,087        | 494,223,479          | 5,572,660        | 1,005,482,402        | 244,337,869          |
| Lease rentals receivable & Stock out on hire    | 3,873,032,728        | -                             | -                  | 3,769,396,511        | -                | 3,769,396,511        | 103,636,217          |
| Financial Investments - Available for Sale      | 80,400               | -                             | -                  | -                    | -                | -                    | 80,400               |
| Financial Investments - Held to Maturity        | 21,669,813           | -                             | -                  | -                    | -                | -                    | 21,669,813           |
| Other Financial assets                          | 73,802,179           | -                             | -                  | -                    | -                | -                    | 73,802,179           |
|                                                 | <b>6,147,126,001</b> | <b>113,495,177</b>            | <b>392,191,087</b> | <b>4,263,619,990</b> | <b>5,572,660</b> | <b>4,774,878,914</b> | <b>1,372,247,089</b> |

  

| Type of Collateral                              | Maximum Exposure to  | Fair Value of Collateral Held |                    |                      |                   | Total Collateral     | Net Exposure to      |
|-------------------------------------------------|----------------------|-------------------------------|--------------------|----------------------|-------------------|----------------------|----------------------|
|                                                 |                      | Cash / Near                   | Property           | Moveable             | Other **          |                      |                      |
| As at 31 <sup>st</sup> March 2015               | Credit Risk          | Cash                          | Mortgages          | Assets *             |                   | Value                | Credit Risk          |
| Cash and Bank Balances (Excluding cash in hand) | 62,817,495           | -                             | -                  | -                    | -                 | -                    | 62,817,495           |
| Placement With Banks                            | 283,645,333          | -                             | -                  | -                    | -                 | -                    | 283,645,333          |
| Repurchase Agreements                           | 426,888,521          | -                             | -                  | -                    | -                 | -                    | 426,888,521          |
| Financial Investments - Held for Trading        | 7,370,358            | -                             | -                  | -                    | -                 | -                    | 7,370,358            |
| Financial Investments - Debt Securities         | 49,278,340           | -                             | -                  | -                    | -                 | -                    | 49,278,340           |
| Loans and Advances                              | 699,052,488          | 90,783,564                    | 355,798,453        | 8,891,317            | 25,000,614        | 480,473,948          | 218,578,540          |
| Lease rentals receivable & Stock out on Hire    | 3,098,897,932        | -                             | -                  | 2,599,270,627        | -                 | 2,599,270,627        | 499,627,304          |
| Financial Investments - Available for Sale      | 100,210,655          | -                             | -                  | -                    | -                 | -                    | 100,210,655          |
| Financial Investments - Held to Maturity        | 21,150,414           | -                             | -                  | -                    | -                 | -                    | 21,150,414           |
| Other Financial assets                          | 42,129,334           | -                             | -                  | -                    | -                 | -                    | 42,129,334           |
|                                                 | <b>4,791,440,870</b> | <b>90,783,564</b>             | <b>355,798,453</b> | <b>2,608,161,944</b> | <b>25,000,614</b> | <b>3,079,744,575</b> | <b>1,711,696,295</b> |

\* Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

\*\* Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).

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Year ended 31 March 2016

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.4 CREDIT RISK (Contd...)****40.4.3 Credit Quality by Class of Financial Assets**

The amounts presented are gross of Impairment allowances.

| As at 31 March 2016                          | Neither Past Due<br>nor Individually<br>Impaired | Past Due<br>Not Individually<br>Impaired | Individually<br>Impaired | Total                |
|----------------------------------------------|--------------------------------------------------|------------------------------------------|--------------------------|----------------------|
| <b>Assets</b>                                |                                                  |                                          |                          |                      |
| Cash and Bank Balances                       | 73,385,295                                       | -                                        | -                        | 73,385,295           |
| Placement With Banks                         | 224,098,165                                      | -                                        | -                        | 224,098,165          |
| Repurchase Agreements                        | 630,158,527                                      | -                                        | -                        | 630,158,527          |
| Financial Investments - Held for Trading     | 6,915,241                                        | -                                        | -                        | 6,915,241            |
| Loans and Advances                           | 837,869,287                                      | 351,997,927                              | 59,953,056               | 1,249,820,271        |
| Lease rentals receivable & Stock out on Hire | 1,690,466,460                                    | 2,085,470,606                            | 97,095,662               | 3,873,032,728        |
| Financial Investments - Available for Sale   | 80,400                                           | -                                        | -                        | 80,400               |
| Financial Investments - Held to Maturity     | 21,669,813                                       | -                                        | -                        | 21,669,813           |
| Other financial assets                       | 73,802,179                                       | -                                        | -                        | 73,802,179           |
| <b>Total</b>                                 | <b>3,558,445,368</b>                             | <b>2,437,468,534</b>                     | <b>157,048,718</b>       | <b>6,152,962,619</b> |

| As at 31 March 2015                          | Neither Past Due<br>nor Individually<br>Impaired | Past Due<br>Not Individually<br>Impaired | Individually<br>Impaired | Total                |
|----------------------------------------------|--------------------------------------------------|------------------------------------------|--------------------------|----------------------|
| <b>Assets</b>                                |                                                  |                                          |                          |                      |
| Cash and Bank Balances                       | 68,497,383                                       | -                                        | -                        | 68,497,383           |
| Placement With Banks                         | 283,645,333                                      | -                                        | -                        | 283,645,333          |
| Repurchase Agreements                        | 426,888,521                                      | -                                        | -                        | 426,888,521          |
| Financial Investments - Held for Trading     | 7,370,358                                        | -                                        | -                        | 7,370,358            |
| Financial Investments - Debt Securities      | 49,278,340                                       | -                                        | -                        | 49,278,340           |
| Loans and Advances                           | 250,163,682                                      | 378,220,808                              | 70,667,998               | 699,052,488          |
| Lease rentals receivable & Stock out on Hire | 1,444,920,109                                    | 1,538,905,922                            | 115,071,901              | 3,098,897,932        |
| Financial Investments - Available for Sale   | 100,210,655                                      | -                                        | -                        | 100,210,655          |
| Financial Investments - Held to Maturity     | 21,150,414                                       | -                                        | -                        | 21,150,414           |
| Other financial assets                       | 42,129,334                                       | -                                        | -                        | 42,129,334           |
| <b>Total</b>                                 | <b>2,694,254,129</b>                             | <b>1,917,126,731</b>                     | <b>185,739,899</b>       | <b>4,797,120,759</b> |

**40.4.3.1** Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the end of the relevant financial period.

| As at 31 March 2016                          | Past Due but Not Individually Impaired |                    |                    |                      | Total                |
|----------------------------------------------|----------------------------------------|--------------------|--------------------|----------------------|----------------------|
|                                              | 1 to 30<br>days                        | 31 to 60 days      | 61 to 90<br>days   | More than<br>91 days |                      |
| Loans and Advances                           | 79,249,900                             | 42,420,869         | 34,453,902         | 195,873,256          | 351,997,927          |
| Lease rentals receivable & Stock out on hire | 641,358,019                            | 429,639,453        | 280,381,664        | 734,091,470          | 2,085,470,606        |
|                                              | <u>720,607,920</u>                     | <u>472,060,322</u> | <u>314,835,566</u> | <u>929,964,727</u>   | <u>2,437,468,534</u> |

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

| As at 31 March 2015                          | Past Due but Not Individually Impaired |                    |                    |                      | Total                |
|----------------------------------------------|----------------------------------------|--------------------|--------------------|----------------------|----------------------|
|                                              | 1 to 30<br>days                        | 31 to 60 days      | 61 to 90<br>days   | More than<br>91 days |                      |
| Loans and Advances                           | 57,531,462                             | 33,874,883         | 28,702,303         | 258,112,161          | 378,220,808          |
| Lease rentals receivable & Stock out on hire | 476,853,868                            | 337,375,253        | 227,190,562        | 497,486,239          | 1,538,905,922        |
|                                              | <u>534,385,330</u>                     | <u>371,250,136</u> | <u>255,892,865</u> | <u>755,598,400</u>   | <u>1,917,126,731</u> |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.4 CREDIT RISK (Contd.)****40.4.4 Analysis of Risk Concentration**

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2016

| Purpose wise Breakdown | Cash and Bank Balances | Placement With Banks | Securities Purchased under Repurchase Agreement | Financial Investments - Held for Trading | Investment in Debt Securities | Loans and Advances   | Lease rentals receivable & Stock out on hire | Financial Investments - Available for Sale | Financial Investments - Held to Maturity | Other financial assets | Total Financial Assets |
|------------------------|------------------------|----------------------|-------------------------------------------------|------------------------------------------|-------------------------------|----------------------|----------------------------------------------|--------------------------------------------|------------------------------------------|------------------------|------------------------|
|                        | Rs.                    | Rs.                  | Rs.                                             | Rs.                                      | Rs.                           | Rs.                  | Rs.                                          | Rs.                                        | Rs.                                      | Rs.                    | Rs.                    |
| Agriculture            | -                      | -                    | -                                               | -                                        | -                             | 13,273,913           | 18,538,216                                   | -                                          | -                                        | -                      | 31,812,129             |
| Manufacturing          | -                      | -                    | -                                               | 957,763                                  | -                             | 35,317,769           | 35,321,051                                   | -                                          | -                                        | -                      | 71,596,582             |
| Construction           | -                      | -                    | -                                               | -                                        | -                             | 101,102,969          | 70,618,119                                   | -                                          | -                                        | -                      | 171,721,088            |
| Financial Services     | 73,385,295             | 224,098,165          | -                                               | 2,846,073                                | -                             | 24,712,288           | 3,421,962                                    | 80,400                                     | -                                        | -                      | 328,544,183            |
| Trading                | -                      | -                    | -                                               | 41,500                                   | -                             | 132,929,187          | 20,280,786                                   | -                                          | -                                        | -                      | 153,251,473            |
| Government             | -                      | -                    | 630,158,527                                     | -                                        | -                             | -                    | -                                            | -                                          | 21,669,813                               | -                      | 651,828,340            |
| Hotels                 | -                      | -                    | -                                               | 634,160                                  | -                             | 5,418,784            | 2,885,057                                    | -                                          | -                                        | -                      | 8,938,002              |
| Services               | -                      | -                    | -                                               | 1,195,152                                | -                             | 441,046,205          | 3,546,157,299                                | -                                          | -                                        | -                      | 3,988,398,656          |
| Others                 | -                      | -                    | -                                               | 1,240,593                                | -                             | 496,019,155          | 175,810,238                                  | -                                          | -                                        | 73,802,179             | 746,872,166            |
| <b>Total</b>           | <b>73,385,295</b>      | <b>224,098,165</b>   | <b>630,158,527</b>                              | <b>6,915,241</b>                         | <b>-</b>                      | <b>1,249,820,271</b> | <b>3,873,032,728</b>                         | <b>80,400</b>                              | <b>21,669,813</b>                        | <b>73,802,179</b>      | <b>6,152,962,619</b>   |

As at 31 March 2015

| Purpose wise Breakdown | Cash and Bank Balances | Placement With Banks | Securities Purchased under Repurchase Agreement | Financial Investments - Held for Trading | Investment in Debt Securities | Loans and Advances | Lease rentals receivable & Stock out on hire | Financial Investments - Available for Sale | Financial Investments - Held to Maturity | Other financial assets | Total Financial Assets |
|------------------------|------------------------|----------------------|-------------------------------------------------|------------------------------------------|-------------------------------|--------------------|----------------------------------------------|--------------------------------------------|------------------------------------------|------------------------|------------------------|
|                        | Rs.                    | Rs.                  | Rs.                                             | Rs.                                      | Rs.                           | Rs.                | Rs.                                          | Rs.                                        | Rs.                                      | Rs.                    | Rs.                    |
| Agriculture            | -                      | -                    | -                                               | -                                        | -                             | 10,913,157         | 30,451,371                                   | -                                          | -                                        | -                      | 41,364,529             |
| Manufacturing          | -                      | -                    | -                                               | 1,216,788                                | -                             | 57,430,775         | 45,428,550                                   | -                                          | -                                        | -                      | 104,076,112            |
| Construction           | -                      | -                    | -                                               | -                                        | -                             | 102,585,413        | 72,653,514                                   | -                                          | -                                        | -                      | 175,238,927            |
| Financial Services     | 68,497,383             | 283,645,333          | -                                               | 3,175,506                                | -                             | 41,883,957         | 596,966                                      | 100,210,655                                | -                                        | -                      | 498,009,801            |
| Trading                | -                      | -                    | -                                               | 44,000                                   | 49,278,340                    | 166,414,001        | 39,121,360                                   | -                                          | -                                        | -                      | 254,857,701            |
| Government             | -                      | -                    | 426,888,521                                     | -                                        | -                             | -                  | -                                            | -                                          | 21,150,414                               | -                      | 448,038,936            |
| Hotels                 | -                      | -                    | -                                               | 626,530                                  | -                             | 9,078,328          | 2,105,807                                    | -                                          | -                                        | -                      | 11,810,665             |
| Services               | -                      | -                    | -                                               | 920,845                                  | -                             | 217,635,191        | 2,901,557,901                                | -                                          | -                                        | -                      | 3,120,113,936          |
| Others                 | -                      | -                    | -                                               | 1,386,689                                | -                             | 93,111,666         | 6,982,464                                    | -                                          | -                                        | 42,129,334             | 143,610,153            |
| <b>Total</b>           | <b>68,497,383</b>      | <b>283,645,333</b>   | <b>426,888,521</b>                              | <b>7,370,358</b>                         | <b>49,278,340</b>             | <b>699,052,488</b> | <b>3,098,897,932</b>                         | <b>100,210,655</b>                         | <b>21,150,414</b>                        | <b>42,129,334</b>      | <b>4,797,120,759</b>   |

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.5 INTEREST RATE RISK**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

**40.5.1 Interest Rate Sensitivity**

**40.5.1.1** The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

| Rs. Million                             |                                           |                                  |                              |
|-----------------------------------------|-------------------------------------------|----------------------------------|------------------------------|
| Borrowings/ Advance                     | Increase<br>(Decrease) in<br>basis points | Sensitivity of<br>Profit or Loss | Sensitivity of<br>Equity     |
| Long Term Loans linked to<br>AWPLR -LKR | <b>2016</b><br>+100/ (-100)               | <b>2016</b><br>(0.75) / 0.75     | <b>2016</b><br>(0.06) / 0.06 |
|                                         | <b>2015</b><br>+100/ (-100)               | <b>2015</b><br>(2.10) / 2.10     | <b>2015</b><br>(0.85) / 0.85 |

The base ratio considered in the Interest Rate Sensitivity Analysis is the AWPLR. Since 60 % of total borrowings (excluding Due to Customers) are linked to AWPLR, the above sensitivity ratio indicates the impact on Profit or Loss and Equity.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.5 INTEREST RATE RISK (Contd...)****40.5.2 Interest Rate Risk**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount caterorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

|                                                  | Up to 03 Months      | 03-12 Months         | 01-03 Years          | 03-05 Years         | Over 05 Years     | Non interest bearing | Total as at 31/03/2016 |
|--------------------------------------------------|----------------------|----------------------|----------------------|---------------------|-------------------|----------------------|------------------------|
|                                                  | Rs.                  | Rs.                  | Rs.                  | Rs.                 | Rs.               | Rs.                  |                        |
| <b>ASSETS</b>                                    |                      |                      |                      |                     |                   |                      |                        |
| Cash and Bank Balances                           | 11,637,390           | -                    | -                    | -                   | -                 | 61,747,905           | 73,385,295             |
| Placement with Banks                             | 224,049,147          | 49,017               | -                    | -                   | -                 | -                    | 224,098,164            |
| Securities Purchased under Repurchase Agreement  | 630,158,527          | -                    | -                    | -                   | -                 | -                    | 630,158,527            |
| Loans and Advances                               | 305,347,276          | 205,989,315          | 594,700,594          | 77,710,965          | 4,798,695         | -                    | 1,188,546,845          |
| Lease rentals receivable & Stock out on Hire     | 656,315,030          | 1,122,194,929        | 1,794,058,182        | 23,672,139          | 11,499            | -                    | 3,596,251,779          |
| Financial Investments - Available for Sale       | -                    | -                    | -                    | -                   | -                 | 80,400               | 80,400                 |
| Financial Investments - Held to Maturity         | 77,158               | 447,515              | 3,088,000            | 5,868,958           | 12,188,182        | -                    | 21,669,813             |
| Other financial assets                           | -                    | -                    | -                    | -                   | -                 | 73,802,179           | 73,802,179             |
| <b>TOTAL ASSETS</b>                              | <b>1,827,584,530</b> | <b>1,328,680,776</b> | <b>2,391,846,776</b> | <b>107,252,062</b>  | <b>16,998,376</b> | <b>135,630,484</b>   | <b>5,807,993,003</b>   |
| <b>LIABILITIES</b>                               |                      |                      |                      |                     |                   |                      |                        |
| Due to Banks                                     | 47,004,092           | -                    | -                    | -                   | -                 | -                    | 47,004,092             |
| Due to Customers                                 | 1,149,094,232        | 1,692,409,186        | 1,571,289,040        | 126,569,763         | -                 | -                    | 4,539,362,221          |
| Debt Instruments Issued and Other borrowed funds | 31,110,631           | -                    | -                    | -                   | -                 | -                    | 31,110,631             |
| Other Financial Liabilities                      | -                    | -                    | -                    | -                   | -                 | 837,025,511          | 837,025,511            |
| <b>TOTAL LIABILITIES</b>                         | <b>1,227,208,955</b> | <b>1,692,409,186</b> | <b>1,571,289,040</b> | <b>126,569,763</b>  | <b>-</b>          | <b>837,025,511</b>   | <b>5,454,502,455</b>   |
| <b>TOTAL INTEREST SENSITIVITY GAP</b>            | <b>600,375,575</b>   | <b>(363,728,410)</b> | <b>820,557,736</b>   | <b>(19,317,701)</b> | <b>16,998,376</b> | <b>(701,395,027)</b> | <b>353,490,549</b>     |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.5 INTEREST RATE RISK (Contd...)****40.5.2.1 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount caterorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

|                                                 | <b>Up to 03<br/>Months</b> | <b>03-12 Months</b>  | <b>01-03 Years</b>   | <b>03-05 Years</b>   | <b>Over 05 Years</b> | <b>Non interest<br/>bearing</b> | <b>Total as at<br/>31/03/2015</b> |
|-------------------------------------------------|----------------------------|----------------------|----------------------|----------------------|----------------------|---------------------------------|-----------------------------------|
| <b>ASSETS</b>                                   | <b>Rs.</b>                 | <b>Rs.</b>           | <b>Rs.</b>           | <b>Rs.</b>           | <b>Rs.</b>           | <b>Rs.</b>                      | <b>Rs.</b>                        |
| Cash and Bank Balances                          | 11,637,390                 | -                    | -                    | -                    | -                    | 56,859,993                      | 68,497,383                        |
| Placement with Banks                            | 283,599,123                | 46,210               | -                    | -                    | -                    | -                               | 283,645,333                       |
| Securities Purchased under Repurchase Agreement | 426,888,521                | -                    | -                    | -                    | -                    | -                               | 426,888,521                       |
| Investment in Debt Securities                   | 49,278,340                 | -                    | -                    | -                    | -                    | -                               | 49,278,340                        |
| Loans and Advances                              | 258,722,876                | 92,803,160           | 256,185,527          | 23,335,377           | 6,201,660            | -                               | 637,248,600                       |
| Lease rentals receivable & Stock out on Hire    | 495,637,337                | 803,360,280          | 1,573,055,629        | 31,165,423           | 66,579               | -                               | 2,903,285,248                     |
| Financial Investments - Available for Sale      | -                          | -                    | -                    | -                    | -                    | 100,210,655                     | 100,210,655                       |
| Financial Investments - Held to Maturity        | -                          | -                    | -                    | 3,094,270            | 18,056,144           | -                               | 21,150,414                        |
| Other financial assets                          | -                          | -                    | -                    | -                    | -                    | 42,129,334                      | 42,129,334                        |
| <b>TOTAL ASSETS</b>                             | <b>1,525,763,587</b>       | <b>896,209,650</b>   | <b>1,829,241,156</b> | <b>57,595,070</b>    | <b>24,324,383</b>    | <b>199,199,982</b>              | <b>4,532,333,828</b>              |
| <b>LIABILITIES</b>                              |                            |                      |                      |                      |                      |                                 |                                   |
| Due to Banks                                    | 155,850,542                | -                    | -                    | -                    | -                    | -                               | 155,850,542                       |
| Due to Customers                                | 1,050,267,823              | 1,434,989,514        | 807,036,921          | 299,666,747          | -                    | -                               | 3,591,961,005                     |
| Other Financial Liabilities                     | -                          | -                    | -                    | -                    | -                    | 461,616,857                     | 461,616,857                       |
| <b>TOTAL LIABILITIES</b>                        | <b>1,206,118,365</b>       | <b>1,434,989,514</b> | <b>807,036,921</b>   | <b>299,666,747</b>   | <b>-</b>             | <b>461,616,857</b>              | <b>4,209,428,404</b>              |
| <b>TOTAL INTEREST SENSITIVITY GAP</b>           | <b>319,645,222</b>         | <b>(538,779,864)</b> | <b>1,022,204,235</b> | <b>(242,071,678)</b> | <b>24,324,383</b>    | <b>(262,416,875)</b>            | <b>322,905,424</b>                |

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.6 LIQUIDITY RISK**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

**40.6.1 Statutory Liquid Asset Ratio**

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier –II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

|         | <b>Statutory Liquid Asset Ratio</b> |             |
|---------|-------------------------------------|-------------|
|         | <b>2016</b>                         | <b>2015</b> |
| Maximum | 25.96%                              | 25.62%      |
| Minimum | 18.22%                              | 19.40%      |
| Average | 21.76%                              | 22.22%      |
| Closing | 19.21%                              | 21.33%      |

**40.6.2 Advances to Deposits ratio**

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

|         | <b>Advances to Deposits Ratio</b> |             |
|---------|-----------------------------------|-------------|
|         | <b>2016</b>                       | <b>2015</b> |
| Maximum | 105.41%                           | 104.21%     |
| Minimum | 91.94%                            | 92.97%      |
| Average | 99.42%                            | 97.34%      |
| Closing | 105.41%                           | 98.57%      |

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities**

**40.6.3.1** The table below analyses the maturity profile of the undiscounted cash flows of the Company's financial assets & liabilities as at the end of relevant financial period.

| ASSETS                                           | On Demand<br>Rs.     | Up to 03<br>Months<br>Rs. | 03-12 Months<br>Rs.  | 01-03 Years<br>Rs.   | 03-05 Years<br>Rs. | Over 05<br>Years<br>Rs. | Total as at<br>31/03/2016<br>Rs. |
|--------------------------------------------------|----------------------|---------------------------|----------------------|----------------------|--------------------|-------------------------|----------------------------------|
| Cash and Bank Balances                           | 73,385,295           | -                         | -                    | -                    | -                  | -                       | 73,385,295                       |
| Placement With Banks                             | 31,380,186           | 194,112,957               | 51,218               | -                    | -                  | -                       | 225,544,361                      |
| Securities Purchased under Repurchase Agreement  | 333,939,581          | 297,423,925               | -                    | -                    | -                  | -                       | 631,363,506                      |
| Financial Investments - Held for Trading         | 6,915,241            | -                         | -                    | -                    | -                  | -                       | 6,915,241                        |
| Loans and Advances                               | 158,467,755          | 103,316,042               | 402,039,008          | 801,925,596          | 111,553,687        | 5,169,500               | 1,582,471,588                    |
| Lease rentals receivable & Stock out on Hire     | 555,200,917          | 482,104,475               | 1,734,772,626        | 2,226,721,535        | 55,711,201         | 11,634                  | 5,054,522,388                    |
| Financial Investments - Available for Sale       | -                    | -                         | -                    | -                    | -                  | 80,400                  | 80,400                           |
| Financial Investments - Held to Maturity         | -                    | 94,000                    | 2,770,870            | 8,758,836            | 12,607,325         | 14,948,162              | 39,179,193                       |
| Other financial assets                           | -                    | 73,802,179                | -                    | -                    | -                  | -                       | 73,802,179                       |
| <b>Total Financial Assets</b>                    | <b>1,159,288,976</b> | <b>1,150,853,578</b>      | <b>2,139,633,722</b> | <b>3,037,405,966</b> | <b>179,872,213</b> | <b>20,209,696</b>       | <b>7,687,264,151</b>             |
| <b>LIABILITIES &amp; EQUITY</b>                  |                      |                           |                      |                      |                    |                         |                                  |
| Due to Banks                                     | 22,246,168           | 19,248,927                | 6,169,444            | -                    | -                  | -                       | 47,664,539                       |
| Due to Customers                                 | 119,197,581          | 1,077,375,263             | 1,918,464,612        | 1,777,430,675        | 156,665,564        | -                       | 5,049,133,696                    |
| Debt Instruments Issued and Other borrowed funds | -                    | 31,339,628                | -                    | -                    | -                  | -                       | 31,339,628                       |
| Other Financial Liabilities                      | -                    | 837,025,511               | -                    | -                    | -                  | -                       | 837,025,511                      |
| <b>Total Financial Liabilities</b>               | <b>141,443,749</b>   | <b>1,964,989,328</b>      | <b>1,924,634,056</b> | <b>1,777,430,675</b> | <b>156,665,564</b> | <b>-</b>                | <b>5,965,163,374</b>             |
|                                                  | <b>1,017,845,226</b> | <b>(814,135,750)</b>      | <b>214,999,666</b>   | <b>1,259,975,291</b> | <b>23,206,649</b>  | <b>20,209,696</b>       | <b>1,722,100,778</b>             |

**40. RISK MANAGEMENT DISCLOSURES (Contd...)****40.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities**

**40.6.3.2** The table below analyses the maturity profile of the undiscounted cash flows of the Company's financial assets & liabilities as at the end of previous financial period.

|                                                 | On Demand          | Up to 03             | 03-12 Months         | 01-03 Years          | 03-05 Years          | Over 05           | Total as at          |
|-------------------------------------------------|--------------------|----------------------|----------------------|----------------------|----------------------|-------------------|----------------------|
| ASSETS                                          | Rs.                | Months               | Rs.                  | Rs.                  | Rs.                  | Years             | 31/03/2015           |
|                                                 |                    | Rs.                  |                      |                      |                      | Rs.               | Rs.                  |
| Cash and Bank Balances                          | 68,497,383         | -                    | -                    | -                    | -                    | -                 | 68,497,383           |
| Placement With Banks                            | 10,826,535         | 274,334,070          | 48,066               | -                    | -                    | -                 | 285,208,671          |
| Securities Purchased under Repurchase Agreement | -                  | 428,724,914          | -                    | -                    | -                    | -                 | 428,724,914          |
| Financial Investments - Held for Trading        | 7,370,358          | -                    | -                    | -                    | -                    | -                 | 7,370,358            |
| Investment in Debt Securities                   | -                  | 50,072,122           | -                    | -                    | -                    | -                 | 50,072,122           |
| Loans and Advances                              | 156,074,990        | 53,571,309           | 157,482,963          | 345,135,798          | 45,281,653           | 6,816,220         | 764,362,933          |
| Lease rentals receivable & Stock out on Hire    | 325,073,507        | 353,647,514          | 1,231,929,615        | 1,960,701,839        | 35,531,668           | 67,363            | 3,906,951,506        |
| Financial Investments - Available for Sale      | 100,130,255        | -                    | -                    | -                    | -                    | 80,400            | 100,210,655          |
| Financial Investments - Held to Maturity        | -                  | -                    | -                    | -                    | 3,165,200            | 21,605,500        | 24,770,700           |
| Other financial assets                          | -                  | 42,129,334           | -                    | -                    | -                    | -                 | 42,129,334           |
| <b>Total Financial Assets</b>                   | <b>667,973,028</b> | <b>1,202,479,263</b> | <b>1,389,460,644</b> | <b>2,305,837,637</b> | <b>83,978,521</b>    | <b>28,569,483</b> | <b>5,678,298,575</b> |
| <b>LIABILITIES &amp; EQUITY</b>                 |                    |                      |                      |                      |                      |                   |                      |
| Due to Banks                                    | 41,177,702         | 29,755,116           | 76,749,815           | 24,212,926           | -                    | -                 | 171,895,559          |
| Due to Customers                                | 76,702,627         | 810,606,592          | 1,602,940,278        | 544,903,689          | 819,765,855          | -                 | 3,854,919,040        |
| Other Financial Liabilities                     | -                  | 461,616,857          | -                    | -                    | -                    | -                 | 461,616,857          |
| <b>Total Financial Liabilities</b>              | <b>117,880,329</b> | <b>1,301,978,565</b> | <b>1,679,690,093</b> | <b>569,116,615</b>   | <b>819,765,855</b>   | <b>-</b>          | <b>4,488,431,456</b> |
|                                                 | <b>550,092,699</b> | <b>(99,499,302)</b>  | <b>(290,229,449)</b> | <b>1,736,721,022</b> | <b>(735,787,334)</b> | <b>28,569,483</b> | <b>1,189,867,119</b> |

**40.7 Operational Risk**

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**41. MATURITY ANALYSIS (CONTRACTUAL)**

**41.1** An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the date of the Statement of Financial Position to the respective contractual maturity dates are given below.

|                                              | <b>On<br/>Demand<br/>Rs.</b> | <b>Less than<br/>3 Months<br/>Rs.</b> | <b>03 - 12<br/>Months<br/>Rs.</b> | <b>01-03<br/>Years<br/>Rs.</b> | <b>03-05<br/>Years<br/>Rs.</b> | <b>Over 05<br/>Years<br/>Rs.</b> | <b>Total as at<br/>31/03/2016<br/>Rs.</b> |
|----------------------------------------------|------------------------------|---------------------------------------|-----------------------------------|--------------------------------|--------------------------------|----------------------------------|-------------------------------------------|
| <b>ASSETS</b>                                |                              |                                       |                                   |                                |                                |                                  |                                           |
| Cash and Bank Balances                       | 73,385,295                   | -                                     | -                                 | -                              | -                              | -                                | 73,385,295                                |
| Placement With Banks                         | 31,372,173                   | 192,676,975                           | 49,017                            | -                              | -                              | -                                | 224,098,164                               |
| Securities                                   | 333,810,726                  | 296,347,801                           | -                                 | -                              | -                              | -                                | 630,158,527                               |
| Financial Investments - Held for Trading     | 6,915,241                    | -                                     | -                                 | -                              | -                              | -                                | 6,915,241                                 |
| Loans and Advances                           | 152,019,925                  | 58,171,555                            | 258,385,282                       | 617,343,009                    | 97,828,378                     | 4,798,695                        | 1,188,546,845                             |
| Lease rentals receivable & Stock out on Hire | 378,153,431                  | 278,161,599                           | 1,122,194,929                     | 1,794,058,182                  | 23,672,139                     | 11,499                           | 3,596,251,779                             |
| Financial Investments - Available for Sale   | -                            | -                                     | -                                 | -                              | -                              | 80,400                           | 80,400                                    |
| Financial Investments - Held to Maturity     | -                            | 77,158                                | 447,515                           | 3,088,000                      | 5,868,958                      | 12,188,182                       | 21,669,813                                |
| Other financial assets                       | -                            | 73,802,179                            | -                                 | -                              | -                              | -                                | 73,802,179                                |
| Real Estate & Vehicle Stock                  | -                            | 26,919,440                            | 6,585,225                         | 28,210,500                     | 21,351,315                     | -                                | 83,066,481                                |
| Other Non Financial Assets                   | -                            | 80,217,322                            | 13,408,337                        | 3,046,166                      | 1,223,000                      | -                                | 97,894,824                                |
| Property, Plant & Equipment                  | -                            | -                                     | -                                 | 21,871,725                     | 25,845,464                     | 28,094,076                       | 75,811,265                                |
| Intangible Assets                            | -                            | -                                     | -                                 | -                              | -                              | 15,608,896                       | 15,608,896                                |
| Deferred tax assets                          | -                            | -                                     | -                                 | 61,419,536                     | -                              | -                                | 61,419,536                                |
| <b>Total Assets</b>                          | <b>975,656,790</b>           | <b>1,006,374,029</b>                  | <b>1,401,070,306</b>              | <b>2,529,037,118</b>           | <b>175,789,254</b>             | <b>60,781,749</b>                | <b>6,148,709,246</b>                      |
| <b>Liabilities</b>                           |                              |                                       |                                   |                                |                                |                                  |                                           |
| Due to Banks                                 | 22,246,168                   | 18,757,924                            | 6,000,000                         | -                              | -                              | -                                | 47,004,092                                |
| Due to Customers                             | 114,851,353                  | 1,034,242,879                         | 1,692,409,186                     | 1,571,289,040                  | 126,569,763                    | -                                | 4,539,362,221                             |
| Debt                                         | -                            | 31,110,631                            | -                                 | -                              | -                              | -                                | 31,110,631                                |
| Other Financial Liabilities                  | -                            | 837,025,511                           | -                                 | -                              | -                              | -                                | 837,025,511                               |
| Other Non Financial Liabilities              | -                            | 8,086,521                             | -                                 | -                              | -                              | -                                | 8,086,521                                 |
| Current tax liabilities                      | -                            | 56,345,826                            | -                                 | -                              | -                              | -                                | 56,345,826                                |
| Retirement Benefit Liability                 | -                            | -                                     | 3,376,487                         | 3,755,098                      | 2,503,399                      | 5,614,354                        | 15,249,338                                |
|                                              | <b>137,097,521</b>           | <b>1,985,569,292</b>                  | <b>1,701,785,673</b>              | <b>1,575,044,138</b>           | <b>129,073,162</b>             | <b>5,614,354</b>                 | <b>5,534,184,141</b>                      |

**41.2** An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the end of the previous financial period to the respective contractual maturity dates are given below

|                                                 | <b>On<br/>Demand<br/>Rs.</b> | <b>Less than<br/>3 Months<br/>Rs.</b> | <b>03 - 12<br/>Months<br/>Rs.</b> | <b>01-03<br/>Years<br/>Rs.</b> | <b>03-05<br/>Years<br/>Rs.</b> | <b>Over 05<br/>Years<br/>Rs.</b> | <b>31/03/2015<br/>Rs.</b> |
|-------------------------------------------------|------------------------------|---------------------------------------|-----------------------------------|--------------------------------|--------------------------------|----------------------------------|---------------------------|
| <b>ASSETS</b>                                   |                              |                                       |                                   |                                |                                |                                  |                           |
| Cash and Bank Balances                          | 68,497,383                   | -                                     | -                                 | -                              | -                              | -                                | 68,497,383                |
| Placement With Banks                            | 10,822,744                   | 272,776,379                           | 46,210                            | -                              | -                              | -                                | 283,645,333               |
| Securities Purchased under Repurchase Agreement | -                            | 426,888,521                           | -                                 | -                              | -                              | -                                | 426,888,521               |
| Financial Investments - Held for Trading        | 7,370,358                    | -                                     | -                                 | -                              | -                              | -                                | 7,370,358                 |
| Investment in Debt Securities                   | -                            | 49,278,340                            | -                                 | -                              | -                              | -                                | 49,278,340                |
| Loans and Advances                              | 153,482,083                  | 35,272,708                            | 108,598,214                       | 293,557,742                    | 40,136,193                     | 6,201,660                        | 637,248,600               |
| Lease rentals receivable & Stock out on Hire    | 282,486,355                  | 213,150,983                           | 803,360,280                       | 1,573,055,629                  | 31,165,423                     | 66,578                           | 2,903,285,248             |
| Financial Investments - Available for Sale      | 100,130,255                  | -                                     | -                                 | -                              | -                              | 80,400                           | 100,210,655               |
| Financial Investments - Held to Maturity        | -                            | -                                     | -                                 | -                              | 3,094,270                      | 18,056,144                       | 21,150,414                |
| Other financial assets                          | -                            | 42,129,334                            | -                                 | -                              | -                              | -                                | 42,129,334                |
| Real Estate & Vehicle Stock                     | -                            | -                                     | 35,119,575                        | 56,335,178                     | 5,685,225                      | -                                | 97,139,978                |
| Other Non Financial Assets                      | 63,797,646                   | 14,479,012                            | 3,158,668                         | 350,000                        | -                              | -                                | 81,785,327                |
| Property, Plant & Equipment                     | -                            | -                                     | -                                 | 17,665,804                     | 9,141,569                      | -                                | 26,807,373                |
| Intangible Assets                               | -                            | -                                     | -                                 | 10,241,083                     | -                              | -                                | 10,241,083                |
| Deferred tax assets                             | -                            | -                                     | -                                 | 18,446,150                     | -                              | -                                | 18,446,150                |
| <b>Total Assets</b>                             | <b>686,586,824</b>           | <b>1,053,975,276</b>                  | <b>950,282,947</b>                | <b>1,969,651,586</b>           | <b>89,222,681</b>              | <b>24,404,782</b>                | <b>4,774,124,096</b>      |
| <b>Liabilities</b>                              |                              |                                       |                                   |                                |                                |                                  |                           |
| Due to Banks                                    | 34,013,696                   | 26,673,305                            | 71,633,515                        | 23,530,025                     | -                              | -                                | 155,850,542               |
| Due to Customers                                | 93,954,085                   | 956,313,737                           | 1,434,989,514                     | 807,036,921                    | 299,666,747                    | -                                | 3,591,961,005             |
| Other Financial Liabilities                     | -                            | 461,616,857                           | -                                 | -                              | -                              | -                                | 461,616,857               |
| Other Non Financial Liabilities                 | -                            | 1,859,218                             | -                                 | -                              | -                              | -                                | 1,859,218                 |
| Current tax liabilities                         | -                            | 26,491,603                            | -                                 | -                              | -                              | -                                | 26,491,603                |
| Retirement Benefit Liability                    | -                            | -                                     | 91,472                            | 5,954,523                      | 3,969,682                      | 1,459,024                        | 11,474,701                |
|                                                 | <b>127,967,781</b>           | <b>1,472,954,721</b>                  | <b>1,506,714,501</b>              | <b>836,521,469</b>             | <b>303,636,429</b>             | <b>1,459,024</b>                 | <b>4,249,253,927</b>      |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

**42. COMMITMENTS AND CONTINGENCIES**

There were no material contingent liabilities outstanding as at the reporting date.

The Company has no commitments for acquisition of Property, Plant & Equipment incidental to the ordinary course of business.

**43. EVENTS AFTER THE REPORTING DATE**

The Company has issued 7,400,000 ordinary shares by way of a Rights Issue in the proportion of One (01) Ordinary Share for every Five (05) Ordinary shares in the capital of the Company (which is ranked pari passu) and raised Rs. 185,000,000 subsequently, thereby increasing the Stated Capital of the company from Rs.382,373,630/- being the Stated Capital representing 37,000,000 shares to Rs.567,373,630/- representing 44,400,000 shares.

**44. CAPITAL**

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

**Capital Management**

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

**45. ASSETS PLEDGED**

The following assets have been pledged as security for liabilities.

| Nature of assets                  | Nature of Liability | Carrying Amount Pledged |                    | Included Under                                 |
|-----------------------------------|---------------------|-------------------------|--------------------|------------------------------------------------|
|                                   |                     | 2016<br>Rs.             | 2015<br>Rs.        |                                                |
| Lease & Hire Purchase Receivables | Bank Overdraft      | 279,366,667             | 313,366,667        | Lease Rental Receivables and Stock Out on Hire |
| Placement With Banks              | Bank Overdraft      | 34,000,000              | -                  | Placement With Banks                           |
| Lease & Hire Purchase Receivables | Term Loan           | 47,193,955              | 224,197,557        | Lease Rental Receivables and Stock Out on Hire |
|                                   |                     | <u>360,560,622</u>      | <u>537,564,224</u> |                                                |

## NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2016

## 46. FINANCIAL REPORTING BY SEGMENT

|                                                | Leasing              |                      | Hire purchase      |                    | Term Loans           |                    | Others               |                     | Total                |                      |
|------------------------------------------------|----------------------|----------------------|--------------------|--------------------|----------------------|--------------------|----------------------|---------------------|----------------------|----------------------|
|                                                | 2016<br>Rs.          | 2015<br>Rs.          | 2016<br>Rs.        | 2015<br>Rs.        | 2016<br>Rs.          | 2015<br>Rs.        | 2016<br>Rs.          | 2015<br>Rs.         | 2016<br>Rs.          | 2015<br>Rs.          |
| Interest Income                                | 933,631,256          | 505,660,046          | 56,032,551         | 124,017,025        | 130,926,781          | 170,636,149        | 68,688,307           | 53,459,065          | 1,189,278,894        | 853,772,285          |
| Fee Based Income & Others                      | 97,689,895           | 78,404,649           | 1,167,893          | 6,641,968          | 12,729,023           | 6,740,541          | 1,050,117            | 882,763             | 112,636,928          | 92,669,921           |
| Unallocated Income                             |                      |                      |                    |                    |                      |                    | 15,317,540           | 11,668,433          | 15,317,540           | 11,668,433           |
| <b>Total Revenue</b>                           | <b>1,031,321,151</b> | <b>584,064,695</b>   | <b>57,200,444</b>  | <b>130,658,993</b> | <b>143,655,804</b>   | <b>177,376,690</b> | <b>85,055,964</b>    | <b>66,010,261</b>   | <b>1,317,233,363</b> | <b>958,110,639</b>   |
| Interest Expenses                              | (282,782,421)        | (202,940,779)        | (21,766,189)       | (52,642,312)       | (85,551,242)         | (70,819,621)       | (91,121,652)         | (83,511,330)        | (481,221,503)        | (409,914,041)        |
| Fee Based Expenses & Others                    | (52,012,635)         | (38,615,011)         | -                  | (192,545)          | (109,903)            | (161,550)          | (24,766,377)         | (6,345,876)         | (76,888,915)         | (45,314,982)         |
| Impairment Reversal / (Provision)              | (126,967,604)        | (69,994,275)         | (18,922,217)       | 25,755,598         | (1,243,861)          | (6,906,233)        | (78,706,435)         | (64,447,644)        | (225,840,117)        | (115,592,554)        |
| <b>Net Operating Income</b>                    | <b>569,558,490</b>   | <b>272,514,631</b>   | <b>16,512,038</b>  | <b>103,579,734</b> | <b>56,750,798</b>    | <b>99,489,287</b>  | <b>(109,538,499)</b> | <b>(88,294,589)</b> | <b>533,282,828</b>   | <b>387,289,062</b>   |
| Unallocated Expenses                           |                      |                      |                    |                    |                      |                    |                      |                     | (402,801,934)        | (289,779,675)        |
| <b>Profits/ (Loss) before Tax</b>              |                      |                      |                    |                    |                      |                    |                      |                     | <b>130,480,894</b>   | <b>97,509,387</b>    |
| Income Tax expenses                            |                      |                      |                    |                    |                      |                    |                      |                     | (40,356,230)         | (24,707,819)         |
| <b>Net Profit /(Loss) for the period</b>       |                      |                      |                    |                    |                      |                    |                      |                     | <b>90,124,664</b>    | <b>72,801,568</b>    |
| Other Comprehensive Income                     |                      |                      |                    |                    |                      |                    |                      |                     | (469,730)            | (826,392)            |
| <b>Total Comprehensive Income for the Year</b> |                      |                      |                    |                    |                      |                    |                      |                     | <b>89,654,934</b>    | <b>71,975,176</b>    |
| Segment Assets                                 | 3,488,564,623        | 2,546,448,364        | 107,687,158        | 356,836,885        | 1,188,546,842        | 637,248,600        | 958,992,986          | 985,683,599         | 5,743,791,609        | 4,526,217,449        |
| Unallocated Assets                             |                      |                      |                    |                    |                      |                    |                      |                     | 404,917,637          | 247,906,648          |
| <b>Total Assets</b>                            | <b>3,488,564,623</b> | <b>2,546,448,364</b> | <b>107,687,158</b> | <b>356,836,885</b> | <b>1,188,546,842</b> | <b>637,248,600</b> | <b>958,992,986</b>   | <b>985,683,599</b>  | <b>6,148,709,246</b> | <b>4,774,124,097</b> |
| Unallocated Liabilities                        |                      |                      |                    |                    |                      |                    |                      |                     | 5,534,184,140        | 4,249,253,926        |
| <b>Total Liabilities</b>                       |                      |                      |                    |                    |                      |                    |                      |                     | <b>5,534,184,140</b> | <b>4,249,253,926</b> |

## NOTES TO THE FINANCIAL STATEMENTS

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**47. RELATED PARTY TRANSACTIONS**

Details of related party transactions which the company had during the year is as follows,

**47.1 Transactions with Key Management Personnel**

According to Sri Lanka Accounting Standards- LKAS 24 (Related Party Disclosure), Key Management personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as KMP unless such person have both the authority and responsibility to carry out all of the three activities mentioned in the above definition.

KMPs of the Company include Board of Directors and the General Manager. Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

**Compensation to Key Management Personnel**

|                              | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|------------------------------|---------------------|---------------------|
| Short Term Employee Benefits | 14,454,750          | 13,444,350          |
|                              | <u>14,454,750</u>   | <u>13,444,350</u>   |

**Other transactions with Key Management Personnel/ Other related parties**

|                                                  | <b>2016<br/>Rs.</b> | <b>2015<br/>Rs.</b> |
|--------------------------------------------------|---------------------|---------------------|
| Fixed Deposits accepted during the year          | 15,000,000          | 2,265,195           |
| Fixed Deposits held at the beginning of the year | 13,772,515          | 11,500,000          |
| Consultancy Fee paid during the year             | 6,510,173           | 1,791,705           |

**47.2 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.**

| Nature of Transaction                         | Abans PLC         |                  | Other Related Parties ** |                      | Total                |                      |
|-----------------------------------------------|-------------------|------------------|--------------------------|----------------------|----------------------|----------------------|
|                                               | Parent Company    |                  |                          |                      | 2016<br>Value<br>Rs. | 2015<br>Value<br>Rs. |
|                                               | 2016<br>Rs.       | 2015<br>Rs.      | 2016<br>Rs.              | 2015<br>Rs.          |                      |                      |
| Fixed Deposits Accepted during the year       | -                 | -                | 150,000,000              | 7,000,000            | 150,000,000          | 7,000,000            |
| Fixed Deposits held at the end of the year    | -                 | -                | 160,023,713              | 36,355,707           | 160,023,713          | 36,355,707           |
| <b>As as at 1 April</b>                       | 4,003,095         | (27,129,634)     | (294,693,792)            | (157,817,232)        | (290,690,698)        | (184,946,866)        |
| Purchase of Articles Consumer Credit Granting | -                 | (38,705,688)     | -                        | -                    | -                    | (38,705,688)         |
| Purchase of Motor Bikes - Lease Granting      | -                 | -                | 2,846,025,650            | (2,046,401,718)      | 2,846,025,650        | (2,046,401,718)      |
| Collections made on behalf of Abans Finance   | 958,093,773       | 226,517,542      | -                        | -                    | 958,093,773          | 226,517,542          |
| Expense on collection commission              | (10,277,499)      | (2,339,860)      | -                        | -                    | (10,277,499)         | (2,339,860)          |
| Sale of real Estate Loan Granting             | -                 | -                | -                        | 20,660,160           | -                    | 20,660,160           |
| Interest income on real estate Loan           | -                 | -                | -                        | 338,002              | -                    | 338,002              |
| Printing Expenses                             | -                 | -                | (1,108,138)              | (753,316)            | (1,108,138)          | (753,316)            |
| Rent Income Recognized & Expense Recoveries   | 4,371,181         | 3,446,064        | (845,510)                | (901,633)            | 3,525,671            | 2,544,431            |
| Rent Expense Paid                             | -                 | -                | 437,755                  | 2,572,181            | 437,755              | 2,572,181            |
| Settlements Paid/(Received)                   | (935,597,300)     | (157,785,330)    | (2,684,141,194)          | 1,887,609,763        | (3,619,738,494)      | 1,729,824,434        |
| <b>As at 31 March</b>                         | <u>20,593,249</u> | <u>4,003,095</u> | <u>(134,325,229)</u>     | <u>(294,693,792)</u> | <u>(113,731,979)</u> | <u>(290,690,698)</u> |

\*\*Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd  
Crown City Developers (Pvt) Ltd  
Abans Retail (Pvt) Ltd  
Abans Auto (Pvt) Ltd  
Abans Electricals PLC  
Abans Marketing (Pvt) Ltd  
ABS Gardner Dixon Hall International (Pvt) Ltd  
Abans Office Automation (Pvt) Ltd

"Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.

**47.3 Terms and conditions of transactions with related parties**

Transactions with related parties are carried out in the ordinary course of the business.

# Abans Finance PLC

## SELECTED PERFORMANCE INDICATORS \_ AS PER CBSL REQUIREMENT

Year ended 31 March 2016

| INDICATOR                                                      | As At<br>31 March 2016 | As At<br>31 March 2015 |
|----------------------------------------------------------------|------------------------|------------------------|
| <b>Regulatory Capital Adequacy</b>                             |                        |                        |
| Core Capital (Tier 1 Capital) Rs.'000                          | 594,066                | 504,740                |
| Total Capital Base Rs.'000                                     | 594,066                | 504,740                |
| Core Capital to Risk weighted Asset Ratio % (Minimum 5%)       | 11.58                  | 12.84                  |
| Total Capital to Risk weighted Asset Ratio % (Minimum 10%)     | 11.58                  | 12.84                  |
| Capital Funds to Total Deposit Liabilities Ratio (Minimum 10%) | 13.54                  | 14.61                  |
| <b>Asset Quality (Quality Of Loan Portfolio)</b>               |                        |                        |
| Gross Non Performing Accommodations, Rs.'000 *                 | 605,550                | 486,139                |
| Gross Non Performing Accommodations, Ratio (%) *               | 12.11                  | 13.21                  |
| Net-Non Performing Accommodations, Ratio (%) *                 | 7.22                   | 8.38                   |
| <i>* Computed as per the CBSL Guidelines</i>                   |                        |                        |
| <b>Profitability</b>                                           |                        |                        |
| Interest Margin (%)                                            | 12.96                  | 10.47                  |
| Return on Average Assets (%) (Before Tax)                      | 2.39                   | 2.30                   |
| Return on Average Equity (%) (After Tax)                       | 15.74                  | 14.72                  |
| <b>Regulatory Liquidity (Rs. '000)</b>                         |                        |                        |
| Required Minimum amount of Liquid Assets                       | 459,368                | 360,058                |
| Available amount of Liquid Assets                              | 879,356                | 779,032                |
| Required Minimum amount of Government Securities               | 245,025                | 166,855                |
| Available amount of Government Securities                      | 629,731                | 426,889                |
| <b>Memorandum Information</b>                                  |                        |                        |
| Number of Employees                                            | 366                    | 265                    |
| Number of Branches                                             | 10                     | 10                     |
| Number of Service Centers                                      | 13                     | 4                      |
| Number of Pawning Centers                                      | -                      | -                      |

### CERTIFICATION:

We, the undersigned, being the Director and the Head of Finance of Abans Finance PLC certify jointly that:

(a) the above statement (Key Performance Indicators) have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka;

(b) the information contained in these statements have been extracted from the audited financial statements of the Company



P W K Roshan  
Head of Finance



K.B. Wanigasekara  
Director